STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

CASE 25-E-0072 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service.

CASE 25-G-0073 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas Service.

STATEMENT IN SUPPORT OF ELECTRIC AND GAS JOINT PROPOSAL BY CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.

Dated: November 26, 2025
New York, New York

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STATEMENT IN SUPPORT OF
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OF CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.

I. Introduction

On November 5, 2025, New York State Department of Public Service Staff ("Staff") filed a Joint Proposal settling all issues in these proceedings,[1] including electric and gas delivery rates for the three-year period from January 1, 2026 through December 31, 2028.

The Joint Proposal establishes just and reasonable rates, is consistent with State policy, including the Climate Leadership and Community Protection Act ("CLCPA"), compares favorably with the likely result of litigation, is within the range of reasonable litigation outcomes, is supported by parties that normally have adversarial interests, was developed in compliance with all applicable procedures, and strikes a fair balance between customers and the Company by providing for reasonable rates that support the Company's financial and operational stability as it

[1] The signatories to the Proposal are Con Edison, Staff, the City of New York, Alliance for a Green Economy, the National Railroad Passenger Corporation, Consumer Power Advocates, Electrify America, LLC, the Environmental Defense Fund, the New York Energy Consumers Council, Inc., the New York Geothermal Energy Organization, the New York Power Authority ("NYPA") and the Retail Energy Supply Association.

continues to implement the State's clean energy transition. The Commission should find that the Joint Proposal is supported by adequate record evidence and adopt it as just, reasonable, and in the public interest.

The electric and gas revenue requirements in the Joint Proposal include substantial rate mitigators to address energy affordability concerns. Most notably the Joint Proposal reflects:

- Depreciation and Reserve Deficiency Limits – Electric and gas depreciation expenses are held at RY1 levels for all three rate years and recovery of reserve deficiencies is limited. Together, these reduce electric revenue requirements by $143.5M in RY1, $111.1M in RY2, and $154.0M in RY3 and gas revenue requirements by $59.6M in RY1, by $25.1M in RY2, and by $23.3M in RY3.

- Productivity Adjustments – A 3% productivity adjustment in RY1 and 2% in each RY2 and RY3, generating cumulative customer savings of $124.8M for electric and $31.7M for gas over the three-year rate plan.

- Unbilled Revenue Application – Applying unbilled revenue to reduce revenue from customers by $250M for electric and $140M for gas across the three-year rate plan.

The Joint Proposal also funds necessary capital investments that Con Edison requested to maintain safe and reliable service while also advancing the State's clean energy future. For example, the Joint Proposal funds the:

- Brooklyn Expansion Project, which is needed to address and maintain reliability, support electrification and new business growth

- Eastern Queens and Idlewild Projects, which were previously authorized by the Commission, and will address growing demand and electrification, as well as add resiliency to the transmission system in the eastern part of Queens;

- Primary Feeder Reliability Program**,** which will prepare Con Edison's electric system for extreme heat from climate change and enhance reliability in disadvantaged communities;

- Brooklyn Clean Energy Hub, which was previously authorized by the Commission, and will integrate new generation, including offshore wind energy;

- Gas Infrastructure Replacement or Reduction Program, which will replace or remove leak-prone gas pipe, enhancing public safety and reducing fugitive methane emissions;

- AMI-Enabled Natural Gas Detectors, which will also enhance public safety and reduce fugitive methane emissions; and

- New Customer Clean Energy Tools, which will facilitate customer energy choice and give customers and developers guidance on clean energy options.

In addition to funding essential operations, the Joint Proposal requires Con Edison to advance the State's CLCPA goals by reporting on greenhouse gas ("GHG") emissions and enhancing its non-pipeline alternative ("NPA") outreach efforts. The Joint Proposal requires the Company to report annually on the GHG emissions associated with the projects and programs funded under the Rate Plans. The Company also agreed to enhance various aspects of its NPA outreach efforts and to solicit feedback from interested stakeholders on its NPA program through a Technical Conference to be held in 2026.

The Joint Proposal authorizes updated Earnings Adjustment Mechanisms ("EAMs") designed to incentivize Company performance related to peak demand reduction, off-peak EV commercial managed charging, and certain transportation and building interconnection timelines. At the same time, the Joint Proposal imposes increased responsibility on the Company for customer performance metrics. It also tightens metrics with potential negative revenue adjustments for long-term estimated and delayed customer billing.

II. Standard of Review

In determining whether a rate case settlement is just, reasonable, and in the public interest, the Commission looks to the factors set forth in the Settlement Guidelines,[2] including:

[2] Case 90-M-0255, *Proceeding on Settlement Procedures and Guidelines*, Opinion No. 92-2 (issued March 24, 1992) ("Settlement Guidelines").

whether the rates and other terms of the agreement are just and reasonable; consistency with State law and policies; whether the result compares favorably[3] with the likely result of full litigation and is within the reasonably expected range of a potential litigated outcome; whether the agreement strikes a fair balance among customers, investors, and the Company; whether the agreement was developed in accordance with all applicable procedures; whether all parties had the opportunity to participate in settlement discussions; whether the agreement is supported by parties with normally adverse interests; and whether there is a rational basis for decision.

III. The Joint Proposal Is Just, Reasonable, and in the Public Interest

The electric and gas revenue levels established in the Joint Proposal, while significantly reduced from the Company's initial request, are sufficient to provide safe and reliable service and fund essential utility and clean energy projects while attracting investment and providing investors the opportunity to earn a reasonable return. The Joint Proposal also continues accounting mechanisms and other rate provisions that the Commission has found just and reasonable and in the public interest and includes new provisions that allow the Company to recover costs incurred for customers on a timely basis, thereby mitigating future base rate increases. In addition, the Joint Proposal designs rates to recover costs equitably from all customer classes.

A. Rates and Revenue Levels

1. Electric and Gas Revenue Levels

The Joint Proposal recommends changes to Con Edison's electric delivery rates and charges, including the fixed component of the Monthly Adjustment Clause ("MAC"), that are

[3] The Commission has found that this standard is met through the adoption of a multi-year rate plan, which, as explained below, provides benefits to both customers and the Company.

designed to produce an additional $234.0 million, $409.7 million, and $421.1 million in revenues on an annual basis in Rate Year 1, Rate Year 2, and Rate Year 3, respectively.[4] The Joint Proposal also recommends changes to the Company's retail gas sales and gas transportation rates and charges that are designed to produce an additional $27.5 million, $68.8 million, and $70.3 million in revenues on an annual basis in Rate Year 1, Rate Year 2, and Rate Year 3, respectively. The revenue increases are shaped to provide stability to customer bill impacts. The Joint Proposal reflects shaped annual total bill impacts of 2.8 percent for electric and 2.0 percent for gas.[5]

These electric and gas rate changes, which reflect material concessions by Con Edison to reach a settlement agreement,[6] are necessary for Con Edison to continue to provide safe and reliable service while advancing the State's clean energy goals. The path to a decarbonized energy system that continues to perform safely and reliably requires investments in electric and gas infrastructure, as well as operations and maintenance expenditures that reflect current costs. In addition, investments must be commensurate with the Company's increased responsibilities in areas like cybersecurity. Con Edison recognizes this work comes with increased costs, but elimination of this work would have negative consequences for customers by jeopardizing safe and reliable service and essential clean energy benefits.

[4] Rate Year 1 ("RY1") means the 12-month period starting January 1, 2026 and ending December 31, 2026; Rate Year 2 ("RY2") means the 12-month period starting January 1, 2027 and ending December 31, 2027; and Rate Year 3 ("RY3") means the 12-month period starting January 1, 2028 and ending December 31, 2028.

[5] See Attachment 2 for typical residential customer bill impacts.

[6] While the Joint Proposal reflects other Company concessions, it is just and reasonable and in the public interest because, among other things, it includes capital spending to improve safety and reliability, in addition to enabling grid modernization and the clean energy transition.

Con Edison will recover the shortfall in Rate Year 1 electric and gas revenues that results from Commission approval of its electric and gas rate plans after their requested effective date of January 1, 2026. Since an order adopting the terms of the Joint Proposal may not occur until after January 1, 2026, the Joint Proposal makes specific recommendations for how Con Edison will be "made whole." The make whole recovery period runs through December 31, 2026 for Rate Year 1 electric and gas revenues.

2. Rate Mitigation & Affordability

The Joint Proposal's electric and gas revenue requirements incorporate significant measures to mitigate rates and address energy affordability. Specifically, the proposal includes: (i) holding electric and gas depreciation expenses at RY1 levels all three years and limiting recovery of reserve deficiencies, which reduced electric revenue requirement by $143.5M in RY1, $111.1M in RY2, and $154.0M in RY3 and gas revenue requirements by $59.6M in RY1, $25.1M in RY2, and $23.3M in RY3; (ii) a 3% productivity adjustment in RY1 and 2% productivity adjustments in each RY2 and RY3, which produce a cumulative savings for customers of $124.8M for electric and $31.7M for gas over the three-year rate plan; and (iii) the use of unbilled revenue to reduce the revenue collected from customers by $250 million for electric and $140 million for gas over the three years of the rate plan.

3. Cost of Capital and Related Terms

The Joint Proposal provides for a return on common equity ("ROE") of 9.40 percent; a capital structure that is 48.00 percent common equity; a long-term debt rate of 4.78 percent, 4.90 percent, and 5.01 percent in Rate Year 1, Rate Year 2, and Rate Year 3, respectively; and reconciliation of variable-rate long-term debt. The Commission should approve these terms because they reflect Con Edison's significant compromise given current market conditions, account for the multi-year nature of the rate plans, and have the potential to benefit customers by

contributing to debt ratings that will keep the Company's borrowing costs low. The equity return is accordingly consistent with the applicable constitutional standard and Commission precedent.

Under longstanding law, utility equity owners must have an opportunity to earn a return that is both commensurate with returns on investments in other enterprises having corresponding risks and reasonably sufficient to assure confidence in the utility's financial soundness.[7] Thus, it is essential that the Commission provide the Company with a market-based cost of capital.

According to data from S&P Global, the national average of ROEs authorized since January 1, 2024 is 9.7 percent and the average common equity percentage is 50.6 percent.[8] Looking specifically at the circumstances of Con Edison, Company Witness Nowak recommended an ROE of 10.5 percent. Witness Nowak relied on the discounted cash flow model and the capital asset pricing model, and his testimony explains how he accounted for Con Edison's risks and tested the reasonableness of his recommendations.

Company Witness Saegusa also testified regarding the current market environment, explaining that the interest rate environment and concern over trade tariffs expose the Company to the risk that it will not be able to earn its cost of capital, which would make the Company less attractive to both equity and debt investors which, in turn, could increase the costs of financing. Company Witness Saegusa also testified regarding the current market environment and the need for long-term debt rate reconciliations (rather than only a variable rate only reconciliation) to afford the Company a meaningful opportunity to earn its authorized return.

As can be seen in this Joint Proposal, delivering safe and reliable service while operating in a high-cost metropolitan area, achieving the State's clean energy goals, and building a more

[7] *Bluefield Water Works & Improvement Co. v. Public Service Comm'n of West Virginia*, 262 U.S. 679 (1923), and *Federal Power Comm'n v. Hope Natural Gas Co.*, 320 U.S. 591 (1944).

[8] See Statement in Support, Attachment 1.

resilient system in the face of extreme weather will require Con Edison to make substantial investments in utility infrastructure over the three years covered by the Joint Proposal (and beyond). To make these investments, Con Edison must be able to attract capital at reasonable rates. Weak investment signals, such as ROEs that are well below industry averages, will impair the Company's cash flow and credit metrics, placing the Company's credit ratings at risk. These factors negatively impact the Company's access to the capital markets and risk liquidity pressures and higher financing costs, which would ultimately affect customers adversely through higher rates. Thus, as explained by Company Witness Nowak, for utilities to access capital at reasonable rates, the ROE afforded to investors must be comparable to the expected return offered by alternative investments of equivalent risk. If it is not, investors will choose the alternative investments and the utility's ability to raise capital, fund its operations, and contribute to the clean energy future will be negatively impacted.

The Joint Proposal's 9.40 percent ROE and 48.00 percent common equity ratio are markedly lower than Witness Nowak's recommendations and other utility ROEs and capital structures nationwide. This demonstrates that Con Edison's agreement to the Joint Proposal is a significant compromise that accepts an ROE and capital structure that meets the bare minimum, when considered in the context of the entire settlement, required to establish just and reasonable rates. Moreover, the interest rate environment, particularly when viewed against the geopolitical backdrop, add substantial risk that is only marginally mitigated by a variable-rate-only debt reconciliation. Nevertheless, in the context of a multi-year settlement, and considering concessions by Staff and other parties on cost of capital and other issues, the Company accepts and supports the Joint Proposal's terms related to the cost of capital.

4. Energy/Supply/Fuel Adjustment Mechanisms

The Joint Proposal reflects the continuation of standard, currently effective adjustment mechanisms that provide for the recovery of various supply and supply-related costs, including purchase power costs and embedded generation (MSC/MAC mechanism), NYPA Surcharge, and gas supply and supply-related costs (MRA, GCF, and DDS).[9] The Joint Proposal reflects the parties' conclusion that these adjustment mechanisms were the preferred alternative for recovering certain costs or incentives related to various programs and other initiatives established by the Joint Proposal, because, for example, the amounts to be recovered are either currently unknown, subject to a cap, or would otherwise be subject to reconciliation.

5. Revenue Decoupling Mechanisms

The Joint Proposal continues, with minor changes, the Company's Electric and Gas Revenue Decoupling Mechanisms ("RDM"). Consistent with current Commission policy, both mechanisms reconcile sales revenues in a manner that disassociates revenues from sales and also eliminates a potential Company disincentive to promote energy efficiency.

6. Other Electric Rate Items

Due to ongoing litigation,[10] the Company may incur charges or receive refunds from PJM Interconnection L.L.C. related to the Company's former 1000 MW firm transmission service agreement. The Joint Proposal provides for the Company to recover from Con Edison customers through the MAC, and from NYPA through the NYPA Statement of Other Charges and Adjustments ("OTH"), billing adjustments associated with that service agreement. The Joint

[9] Market Supply Charge ("MSC"), Monthly Rate Adjustment ("MRA"), Gas Cost Factor ("GCF"), and Daily Delivery Service ("DDS").

[10] PJM Interconnection, L.L.C., 168 FERC ¶ 61,133 (2019) (order on remand); *New Jersey Board of Public Utilities v. PJM et al.*, Order Denying Complaint, 163 FERC ¶ 61,139 (2018) and *Consolidated Edison Company et al. v. FERC*, 45 F.4th 265 (D.C. Cir. 2022), *order on remand pending*.

Proposal also specifies a pro-ration to NYPA for is allocation of costs/refunds. Accordingly, the Joint Proposal reflects a mutually acceptable allocation of cost responsibility for all customers potentially impacted by billing adjustments associated with the former PJM firm transmission service agreement.

7. Other Gas Rate Items

a) Non-Firm Revenues

Con Edison's gas rate plans have traditionally included a base rate revenue imputation attributable to Non-Firm revenues, which are revenues that the Company generates, for example, through the administration of its interruptible service program and the Company's efforts to maximize value from interstate pipeline capacity acquired to meet the needs of firm gas customers through strategies such as capacity release and asset management transactions. This gas rate plan is no different. Like the 2023 Rate Plan,[11] firm delivery rates are reduced by a $65 million imputation of anticipated revenues from the foregoing Company efforts, and customers are to be credited with the lion's share of any such revenues achieved by the Company above $65 million. Specifically, 85% of all revenues achieved above the target will continue to be credited to customers.

b) Lost and Unaccounted for Gas

In accordance with Commission regulations, the Joint Proposal establishes a mechanism to address lost and unaccounted for gas ("LAUF"). Specifically, the Joint Proposal continues the currently effective methodology for calculating the line loss factor, the development of the

[11] Cases 22-E-0064 and 22-G-0065, *Consolidated Edison Company of New York, Inc. – Electric and Gas Rates*, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements (issued and effective July 20, 2023) ("2023 Rate Plan").

LAUF target and the parameters around the LAUF target that will trigger Company absorption of costs or retention of benefits, which the parties determined should continue without change.

8. Computation and Disposition of Earnings

An earnings sharing mechanism ("ESM"), under which a utility shares with customers earnings above pre-established thresholds, is a traditional component of multi-year utility rate plans. An ESM is intended to balance the interests of parties who are concerned that a utility's earnings under a multi-year rate plan may significantly exceed projected earnings with parties who, like Con Edison, maintain that customers will derive greater benefits from rate mechanisms that eliminate sharing requirements for the period of a rate plan and thereby produce stronger earnings and efficiency incentives that will redound to customers' benefit in the long term.

The Joint Proposal continues current electric and gas ESM sharing thresholds and rules. These rules favor customers by requiring Con Edison to use 50 percent of its share of any shared earnings to reduce deferred Site Investigation and Remediation ("SIR") costs, which reduces the amount of such costs deferred for future collection from customers. If the amount that would be used to reduce SIR costs exceeds SIR deferrals, the Company is required to use the overage to reduce other interest-bearing deferred costs chargeable to customers. Thus, customers get their full 50 percent of total shared earnings and benefit from 50 percent of the Company's nominal share. This arrangement is responsive to the Commission's expectation that rate plan ESMs will provide the opportunity to allocate some portion of shared earnings to offset SIR costs.[12] The Company's agreement to these customer-favoring ESMs is another concession it made to reach a comprehensive settlement.

[12] Case 11-M-0034, *Proceeding on Motion of the Commission to Commence a Review and Evaluation of the Treatment of the State's Regulated Utilities' Site Investigation and Remediation (SIR) Costs*, Order Concerning Costs for Site Investigation and Remediation (issued November 28, 2012), p. 12.

B. Capital Expenditures and Net Plant Reconciliation

1. Capital Expenditures

The Joint Proposal establishes rates that reflect the forecasted capital expenditures necessary for Con Edison to provide safe and reliable service while continuing to advance the State's clean energy goals. Staff and other parties thoroughly examined these investments during ten months of discovery and four and half months of settlement discussions. The settling parties reached consensus on the capital amounts necessary to implement these projects and programs.[13] The final Joint Proposal reflects a significant reduction in capital spending from the Company's original capital request of approximately $21 billion over the three-year rate plan to just under $17 billion. At the same time, the Joint Proposal, like other recent Con Edison rate plans, properly recognizes that the Company requires flexibility during its term to modify the list, priority, nature, and scope of its capital programs and projects. In addition, the Joint Proposal continues to require Con Edison to file periodic capital spending reports so Staff and parties will be aware of the Company's activities. Finally, the Joint Proposal provides that Con Edison will provide a sur-credit to customers to the extent that the Company succeeds in obtaining federal incentives for projects placed in service during the proposed rate plan term.

2. Electric and Gas Net Plant Reconciliation

The Joint Proposal continues the downward net plant reconciliation mechanisms for electric and gas operations that were established in the 2023 Rate Plan, with important

[13] On November 12, 2025, following the filing of the Joint Proposal, New York State entered into a stipulation suspending the effective date of the All-Electric Buildings Act ("AEBA") (19 N.Y.C.R.R. § 1240.6 (as amended by 10/1/25 N.Y. St. Reg. DOS-11-25-00001-A) and 19 N.Y.C.R.R. Subpart 1229-2 (as amended by 10/1/25 N.Y. St. Reg. DOS-11-25-00002-A)), pending final disposition of the plaintiffs' appeal of a summary judgement dismissal. *Mulhern Gas Co. Inc. v. Mosley*, Case No. 1:23-cv-01267, Stipulation and Order Settling Motion for Injunction Pending Appeal (N.D.N.Y. Nov. 12, 2025). The Company will monitor what, if any, impact suspension of the AEBA may have on its costs to connect new gas customers and, if appropriate, may seek recovery for any incremental costs.

modifications that provide greater flexibility for the Company to manage its capital programs. As with full reconciliation mechanisms, downward-only net plant reconciliation mechanisms protect customers from paying in rates for capital investments that Con Edison does not make. Unlike full reconciliation mechanisms, however, downward-only reconciliation mechanisms do not protect Con Edison during the Joint Proposal's term from absorbing the carrying costs of prudent and necessary capital expenditures that exceed the Joint Proposal's net plant targets.

Under the 2023 Rate Plan, the electric net plant reconciliation required the Company to defer for customer benefit the revenue requirement impact (carrying costs and depreciation) when actual average net plant fell below the Average Electric Plant In Service Balances established in Appendix 7. For municipal infrastructure support, the 2023 provision allowed the Company to defer carrying charges on net plant up to 20 percent above established targets due to the East Side Coastal Resiliency Project.

The 2025 Joint Proposal retains the core net plant reconciliation structure for electric operations, requiring the Company to defer for customer benefit the revenue requirement impact when actual average net plant (excluding removal costs) falls below the Average Electric Plant In Service Balances in Appendices 7 for RY1, RY2, and RY3. The reconciliation is cumulative over the 36-month rate plan period, meaning a deferral is required only if cumulative actual average net plant is below the cumulative target. This cumulative approach provides the Company with flexibility to manage the timing of capital projects while ensuring that customers receive the benefit of any overall underspending.

The 2025 Joint Proposal modifies the municipal infrastructure support provision by replacing the project-specific 20 percent allowance for the East Side Coastal Resiliency Project with a more general provision allowing the Company to defer carrying charges on net plant up to

10 percent above established capital expenditure targets for municipal infrastructure support-related capital costs. This modification reflects the varied types of projects expected during the rate plan. The Company's position continues to be that full reconciliation is more appropriate given the inherent unpredictability of municipal infrastructure support costs, which are driven by municipal agency decisions and schedules largely outside the Company's control. However, the Company accepted this provision in the context of a multi-year settlement.

The 2025 Joint Proposal adds a new provision allowing the Company to defer carrying charges on average net plant in service up to $50 million annually for electric new business capital costs that exceed the Average Electric Plant In Service Balance. This provision recognizes that new business activity—connecting new customers and serving load growth—is difficult to forecast given the varied regulatory signals on electrification. The $50 million annual cap provides a reasonable compromise, allowing the Company to serve new customers without needing to delay other needed projects while ensuring that customers do not bear the cost of excessive new business spending.

For gas operations, the 2023 Rate Plan included a net plant reconciliation requiring the Company to defer for customer benefit the revenue requirement impact when actual average net plant fell below the Average Gas Plant In Service Balances in Appendix 8. The 2023 provision allowed the Company to defer carrying charges on net plant up to $10 million annually for municipal infrastructure support-related capital costs due to changes in customary practice relating to interference or public works projects with a projected total cost exceeding $100 million.

The 2025 Joint Proposal retains the core gas net plant reconciliation structure, requiring the Company to defer for customer benefit the revenue requirement impact when actual average

net plant (excluding removal costs) falls below the Average Gas Plant In Service Balances in Appendix 8 for RY1, RY2, and RY3. The reconciliation is cumulative over the 36-month rate plan period.

The 2025 Joint Proposal modifies the municipal infrastructure support provision by replacing the $10 million annual allowance with a provision allowing the Company to defer carrying charges on net plant up to 10 percent above established capital expenditure targets for municipal infrastructure support-related capital costs. As with electric municipal infrastructure support costs, Con Edison continues to maintain that all such costs should be subject to full reconciliation. In the interest of reaching a settlement, however, the Company agreed to the limited upward reconciliation in the Joint Proposal.

The Joint Proposal also continues the Company's electric Non-Wires Alternative ("NWA") adjustment mechanism and the gas NPA adjustment mechanism. These provide for the reduction in electric/gas net plant targets if a planned capital project is displaced by an NWA or NPA.

C. Reconciliations

The Commission routinely adopts reconciliation mechanisms for costs and expenses that are difficult to project with any reasonable degree of accuracy in order to protect both customers and utilities from the risks that projections upon which rates are based may vary materially from actual costs.

The Joint Proposal provides for the reconciliation of certain costs or revenues to the amount reflected in the revenue requirement. For some items, the Joint Proposal provides for a full true-up, protecting both customers and Con Edison. For others, the Joint Proposal places asymmetrical risk on Con Edison by permitting a downward reconciliation that protects

customers, but not an upward reconciliation that protects the Company. The reconciliation mechanisms are generally the same as those in place under the 2023 Rate Plans, and/or pursuant to longstanding Commission policy or practice.[14] As such, only the new and substantively modified reconciliation mechanisms in the Joint Proposal are specifically addressed here. The reconciliation mechanisms and their recovery approaches are reasonable and should be adopted.

1. Property Taxes

The Company pays the vast majority of its property taxes to New York City, and the Joint Proposal reflects Property tax forecasts that were based on New York City's Fiscal Year 2025/2026 Adopted Executive Budget and Financial Plan (rather than historical property tax levies and a growth rate based on historical data). Because the rate plan uses a published and adopted budget as the primary basis for its property tax forecast, the Company cannot be expected to reduce property taxes through improved efficiency, better management, or any other action within its control. As a result, the Joint Proposal also includes a full reconciliation for property tax expenses.

The Joint Proposal retains the procedural protections from the 2023 Rate Plans: the Company must provide Staff with surcharge/sur-credit amounts and supporting workpapers by March 31 of each year for Staff's review and verification; the Company may implement recoveries or credits 90 days after notifying Staff; surcharge recoveries are subject to separate annual caps for electric and gas that produce no more than a 0.5 percent total bill impact per

[14] To avoid the inadvertent discontinuance of a reconciliation or deferral accounting mechanism because it is not specified for continuation in the Joint Proposal, the Joint Proposal reasonably provides that all existing reconciliations and/or deferral accounting mechanisms will continue except for those expressly identified in the Joint Proposal for termination.

commodity; and amounts exceeding the annual cap are rolled forward for recovery in subsequent years.

2. Uncollectible Expense and Late Payment Charges ("LPC") Reconciliation (Electric and Gas)

The Joint Proposal establishes a combined reconciliation mechanism for uncollectible expenses and payment charge revenues that replaces the COVID-era reconciliation from the 2023 Rate Plans. The 2023 Rate Plans included a full reconciliation of both uncollectible expenses and late payment fees, with recoveries capped at 0.5 percent total bill impact annually and a final reconciliation at the end of 2025. Those mechanisms were designed to address the extraordinary arrears levels during and immediately following the COVID-19 pandemic. The 2025 Joint Proposal recognizes that arrears continue to be elevated and a reconciliation mechanism is necessary. The Joint Proposal modifies the mechanism in a manner that is decidedly favorable to customers.

The new mechanism is asymmetrical. If actual net expenses (late payment charges less uncollectible expenses) are below the amounts in rates, the Company refunds the full variance to customers via sur-credit. There is no threshold or sharing—customers receive 100 percent of any favorable variance. Conversely, if actual net expenses exceed the amounts in rates, the Company bears risk. The Joint Proposal establishes escalating thresholds: $10 million in Rate Year 1 (split $8.5 million electric, $1.5 million gas), $15 million in Rate Year 2 ($12.75 million electric, $2.25 million gas), and $20 million in Rate Year 3 ($17 million electric, $3 million gas). The Company must fully absorb these amounts before any deferral for recovery is permitted. Only variances above these thresholds may be deferred.

As a customer protection, recoveries are subject to the same 0.5 percent total bill impact cap that applied in the 2023 Rate Plans, with amounts exceeding the cap rolled forward to

subsequent years. The Company must provide Staff with surcharge/sur-credit amounts and supporting workpapers by March 31 of each year and may only implement recoveries 90 days after notifying Staff, ensuring regulatory oversight. At the end of 2028, a final reconciliation will be performed, with any residual amounts above the annual surcharge cap deferred for future Commission disposition.

3. Customer Analytics Reporting and Engagement

The Joint Proposal provides that the Company will defer for the benefit of customers any cumulative shortfall over the term of the Rate Plans between actual expenses for the Customer Analytics Reporting & Engagement Program and the levels provided in rates. Although O&M is generally fungible so that the Company may appropriately respond to changing circumstances, the Company agreed to this asymmetrical and program-specific reconciliation in the context of a multi-year settlement and considering concessions by Staff and other parties.

4. Multivariable Optimization Process

The Company was directed by the Commission to develop a multivariable optimization process by order dated September 20, 2024 in Case 23-G-0147. The process is intended to help the Company identify the gas planning pathway with the highest emissions reductions potential and lowest impact on affordability. The scope of the process is still being discussed with DPS Staff, so no funding is included in the Company's revenue requirement. As such, the Joint Proposal provides a deferral for up to $2 million for the development of this process, which will be allocated among the Company's three business units (electric, gas and steam) and Orange and Rockland Utilities, Inc.'s two business units (electric and gas).

5. Federal Income Tax

The Company is following the rules in an IRS Revenue Procedure implementing a gas repair deduction tax accounting change. The Company's plant related tax depreciation and

deferred income taxes for Rate Years 1, 2, and 3 reflect estimated annual gas repair deduction amounts. The Joint Proposal includes a provision under which the Company will reconcile the income tax impact of the actual annual gas repair deduction amounts net of related changes in tax depreciation with the levels provided in rates. The Company will also reconcile the income tax impact of any tax attributes on a standalone basis and any corporate alternative minimum tax credit carryforward allocated during the term of the rate plan. This provision protects both customers and utilities from the risk that projections upon which rates are based may vary materially from actual costs.

6. Management and Operations Audit

The Joint Proposal includes a deferral for consultant costs for comprehensive Management and Operations Audits. These audits are required by the Public Service Law and are a necessary business expense, but such costs cannot be adequately included in base rates because of a timing mismatch between audits and rate cases and because audit costs can vary depending on factors such as scope and the market rate for consultants at the time of the contract. This provision protects both customers and utilities from the risk that projections upon which rates are based may vary materially from actual costs.

7. Major Storm Cost Reserve

The Joint Proposal continues the provisions in the existing electric rate plan addressing how Con Edison may charge major storm costs to the major storm reserve. Where a major storm materializes, Con Edison may charge the major storm reserve once a deductible has been met. For each major storm that does not materialize, the Joint Proposal permits Con Edison to charge Pre-Staging and Mobilization Costs between $350,000 and $4.5 million to the major storm reserve. For each event with Pre-Staging and Mobilization Costs that exceed $4.5 million, Con Edison may charge 85 percent to the major storm reserve and must expense the remaining 15

percent in the year incurred. The Joint Proposal also specifies that the $4.5 million cap will not apply to events that meet the definition of a Tropical Cyclone event.

The 2025 Joint Proposal updates the rate allowance based on recent major storm spending and adjusts the surcharge recovery thresholds and caps accordingly. The Company may surcharge major storm costs that exceed the annual rate allowance by more than $7 million in a rate year. The surcharge benefits customers by reducing the likelihood that the Company will build up a large deferral for the next rate case. To protect customers from potentially high bill impacts from this mechanism, the Joint Proposal caps surcharge recovery at $43 million in RY1, $46 million in RY2, and $47 million in RY3.

8. Sulfur Hexafluoride Standards

The New York State Department of Environmental Conservation adopted a rule at the end of 2024 that phases out gas-insulated equipment containing sulfur hexafluoride, which is widely used in the Company's electric system. Recognizing that the Company will need to comply with the regulation, but does not have funding reflected in the revenue requirement, the Joint Proposal permits the Company to defer incremental costs incurred to phase out gas-insulating equipment containing sulfur hexafluoride. To protect customers from potentially high bill impacts from this mechanism, the deferral is capped at a $20 million revenue requirement impact in each year for RY2 and RY3.

9. Streetlight Registry

The Joint Proposal recognizes that Con Edison and the City of New York should coordinate on a Streetlight Registry to facilitate the Company's work in New York City. The Joint Proposal provides for the Company to defer up to $1 million to ascertain whether existing Con Edison and NYC Department of Transportation systems can be used or leveraged to satisfy

some of the parameters of the new system, develop a cost estimate for the new system, and establish a framework for ownership, operation, maintenance, and access to the new system.

D. Additional Accounting Provisions

Many of the Additional Accounting Provisions are standard provisions with routine updates (e.g., interest on deferred costs, allocation of common/expenses plant), continuations from the previous rate plan (e.g., Income Taxes and Cost of Removal Audit), or straightforward reporting/filing provisions (e.g., IT Reporting, Property Tax and Sales Forecasting). As such, only the new /substantively modified provisions that may need additional context are specifically addressed here.

1. Labor - Full Time Equivalent ("FTE") Employees and Productivity

The Joint Proposal's revenue requirements reflect workforce additions necessary to support the Company's critical work in providing system safety and reliability, meeting the State's clean energy objectives, and enhancing customer service. The Joint Proposal also includes a substantial productivity adjustment that was an extremely difficult concession for the Company.

The revenue requirements include funding for 981 incremental FTEs that have been/will be hired between the end of the historic test year (the 12 months ending September 30, 2024) and the Rate Year, with no further FTEs in Rate Years 2 and 3. As described in the Company's direct, update, and rebuttal testimonies, these positions support the Company's funded capital programs, comply with new regulatory requirements, and enhance customer service initiatives.

The Joint Proposal also affords the Company necessary operational flexibility by allowing it to move funding for these positions across different initiatives to meet evolving

operational needs. This flexibility is a prudent management tool that recognizes the reality that workforce needs can shift as projects progress, priorities evolve, and circumstances change.

The Joint Proposal includes a 3.00 percent productivity adjustment in Rate 1 and 2.00 productivity adjustments in Rate Year 2 and 3. This adjustment, which is much higher than the standard 1.0 percent productivity adjustment, reduces labor costs in the revenue requirement, offsetting a substantial portion of the funding for the incremental FTEs. This, in essence, results in labor O&M funding for significantly less than the stated incremental FTE figures, a position which is extremely difficult for the Company. Nevertheless, in the context of a multi-year settlement, and considering concessions by Staff and other parties, the Company accepts this Joint Proposal term.

2. Depreciation Rates and Reserves

To reduce the revenue requirement, the Joint Proposal holds electric and gas depreciation expenses for Rate Years 2 and 3 at the Rate Year 1 levels. This is a departure from standard ratemaking practice, under which depreciation expense would increase in Rate Years 2 and 3 as new plant is added to the rate base.

The Joint Proposal also addresses reserve deficiencies. It continues the amortization of $3.8 million annually for the Hudson Avenue Station, ensuring that this legacy cost is addressed in a measured and predictable manner. However, the Joint Proposal does not include any other electric or gas reserve deficiency amortizations. This is notable because the 2023 Rate Plans included $66.8 million annually for electric and $11.3 million annually for gas to address reserve deficiencies identified in excess of the 10 percent tolerance band. The elimination of these amortizations in the 2025 Joint Proposal represents a substantial reduction in revenue requirements and a direct benefit to customers.

3. Non-Officer Management Variable Pay and Long Term Incentive Program Design

The Joint Proposal includes a significant redesign of the Company's Management Variable Pay ("MVP") and Long-Term Incentive Plan ("LTIP") programs for non-officer employees, effective in Rate Year 1. This redesign shifts the structure of management incentive compensation further toward operational performance metrics.

The redesigned MVP is an annual incentive program weighted 90 percent on Key Performance Indicators in employee and public safety, environmental sustainability, operational excellence, and customer experience and 10 percent based on delivering for customers efficiently (as measured by annual operating budget performance).

The redesigned LTIP is a three-year cash-based retention program structured as 60 percent fixed; 30 percent based on long-term operating objectives such as cyber security, clean energy initiatives, and electrification; and 10 percent based on delivery for customers efficiently (as measured by three-year operating budget performance). The 60 percent fixed component provides retention value and reduces compensation volatility, while the 30 percent allocation to long-term operating objectives aligns management incentives with the State's clean energy goals and critical infrastructure priorities.

The Joint Proposal fixes "financial" metrics at a maximum of 10 percent across both programs during the term of the Rate Plans, addressing stakeholder concerns about utility incentive compensation structures that may create conflicts between shareholder and customer interests. The target weightings will remain in effect for the term of the Rate Plans unless changed by Commission order, providing stability while preserving the Commission's authority to direct modifications. The Joint Proposal also requires the Company to modify its Non-Officer

Incentive Compensation programs as directed by the Commission in Case 25-M-0043, ensuring alignment with evolving Commission policy.

4. Unbilled Revenue Adjustment Balance in Rate Base

The Joint Proposal reflects the impact of a one-time accounting adjustment, which provides a $390 million reduction to electric and gas revenue requirements over the term of the rate plan. In Case 08-M-1150, the Commission authorized the Company to accrue unbilled revenue for accounting and regulatory purposes. The adoption of that Order resulted in a one-time adjustment, which was recorded as a regulatory liability and set aside for future rate mitigation. The electric and gas revenue requirements in the Joint Proposal reflect an annual reduction for electric and gas, reducing the revenue collected from customers for rate mitigation purposes. Mechanically, since these annual benefits represent a cash reduction that the Company has not received in rates, an offsetting regulatory asset of Unbilled Revenue Adjustment balance is reflected in the electric and gas rate base respectively. The Joint Proposal specifies that the Unbilled Revenue Adjustment regulatory asset balances will remain in the rate base of the Company's future rate cases, until being reduced, and eventually completely being offset, by the realized net gains resulting from the sales of the Company's electric and gas utility properties.

E. Electric Rate Design[15]

1. Revenue Allocation

The Joint Proposal allocates electric revenues based on Con Edison's electric Embedded Cost of Service ("ECOS") study. The electric ECOS study analyzes costs and revenues, at

[15] The Company recognizes the potential rate design impacts of new, energy-intensive loads, such as data centers in New York State. The Company would support and participate in any generic proceeding initiated by the Commission to examine the impacts of new, energy-intensive loads, including investigating whether separate rate classifications or alternative rate designs would be appropriate.

current rates, associated with the Company's electric delivery system for 2023 (i.e., transmission, distribution and customer-related cost categories or functions) and also includes certain cost categories related to the competitive functions. The Company performed its ECOS study in accordance with long-standing Commission practice and generally used the same methodology to allocate costs that was used in the 2023 Rate Plans approved by the Commission. While the development of an ECOS study is a highly technical undertaking that includes the exercise of reasonable judgment, the Company performs this study in an unbiased manner, allocating costs to the appropriate service classification ("SC") to fairly assess cost responsibility to each category of customers.

The results of the ECOS study are expressed as Total Company ("total system") and class rates of return. Based on established practice, class revenue responsibilities (i.e., resulting revenue surpluses or deficiencies) are measured with respect to a plus/minus 10 percent tolerance band around the total system rate of return. The revenue allocation reflects one-third of the revenue surplus/deficiency indications, resulting from the Company's electric ECOS study, in a revenue neutral manner in each Rate Year. This balances the interests of correcting surpluses and deficiencies and mitigating customer bill impacts in accordance with prior Commission decisions.

In addition, the Joint Proposal provides that the Company will submit a seasonal rate study based on its most recent ECOS study and Demand Analysis as part of future base rate case filings. The study will provide the Company and stakeholders with guidance regarding the alignment of the Company's seasonal rate differentials and their underlying costs.

2. Customer Charges

The Joint Proposal includes updated electric customer charges that better reflect the Company's cost to provide service. Notably, the Joint Proposal includes phased-in increases in

customer charges for the electric residential service class ("SC 1") to mitigate bill impacts. In Rate Year 3, these customer charges will be at the levels proposed by Con Edison in its direct testimony.

The ECOS study shows that the current customer charge is below customer costs. As a result, any shortfall in the revenue recovered through the customer charge would increase the revenue to be recovered through the per kWh usage charges, resulting in an unwarranted subsidy for lower usage customers by higher usage customers. The Joint Proposal's increased customer charges reduce this inequity. The ECOS study demonstrates that the Joint Proposal's phased-in customer charge is still significantly below customer costs. The Company's current SC 1 customer charge is among the lowest as compared with the other investor-owned utilities in New York State, as shown in the table below.

Residential Customer Charges in NY

Company	Non-Time of Day	Time of Day
RG&E (Schedule II)	$23.00	$31.00
Central Hudson	$22.50	$25.50
O&R	$22.00	$30.00
Con Edison (RY1)	**$21.00**	**$21.00**
Con Edison (current)	$20.00	$20.00
National Grid (SC1C)	$19.00	$30.62
NYSEG (Large)	$19.00	$30.00

3. SC 1 Rates III and IV

The Joint Proposal modifies SC 1 Rates III and IV, which are the Company's residential optional volumetric time-of-use and demand-based rates, respectively. The Joint Proposal expands accessibility of these rate options by: (1) offering a one-year price guarantee for new customers with air source or ground source heat pumps taking service under SC 1 Rate III; and (2) removing the existing limit of the number of customers eligible for the price guarantee under SC 1 Rate IV such that any new customer with air source or ground source heat pumps will

receive the one year price guarantee. Additionally, the Company will study the appropriate rate structure for SC1 Rate III and identify any appropriate changes and study the appropriate peak period of SC 1 Rate IV and meet with parties to present the studies by December 18, 2026. Stakeholders will have the opportunity to comment on the draft studies with the Company filing the final studies by March 31, 2027. The Company will then file by May 21, 2027, to implement any appropriate changes to SC I Rate III or SC I Rate IV. Additionally, annual reporting has provided useful information to stakeholders and will continue with minor modifications.

4. Tariff Changes

The Joint Proposal describes tariff changes related to the MAC and NYPA OTH and provides summaries of other tariff changes required to implement various provisions of the Joint Proposal.

F. Gas Rate Design

1. Revenue Allocation

The Joint Proposal allocates gas revenues based on Con Edison's gas ECOS study. The revenue allocation reflects one-ninth of the revenue surplus/deficiency indications, resulting from the Company's 2023 gas ECOS study, in a revenue-neutral manner in each Rate Year. This balances the interests of correcting surpluses and deficiencies and mitigating customer bill impacts in accordance with prior Commission decisions.

2. Rate Design

The Joint Proposal establishes new competitive and non-competitive gas delivery service rates.

a) Firm Delivery Rates

The Joint Proposal recommends establishing separate rate structures, within the SC 3 residential heating class, for customers with 1-4 dwelling units (SC 3 Rate I) and customers with more than 4 dwelling units (SC 3 Rate II) in accordance with 2023 Rate Plan.

The Joint Proposal recommends increases to the minimum monthly charges that better reflect the Company's cost to provide service. The Minimum Monthly Charges in SC 2 and SC 3 are significantly below ECOS study customer cost indications. To mitigate bill impacts, the settling parties agreed to a gradual approach to increasing SC 2 and SC 3 minimum charges over three years.

The SC 2 and SC 3 volumetric rate structure reflects a continuation of a 10-year phase out of declining block rates to promote energy efficiency in support of CLCPA objectives and mitigates customer bill impacts.

b) Interruptible Service

The Joint Proposal continues the current relationship between delivery rates for interruptible Rate 1 customers and the delivery rates for firm customers such that the rates for the Rate 1 volumetric rate blocks will be set at 70 percent of each of the SC 2 Rate 2 volumetric block rates for non-residential customers and 70 percent of each of the SC 3 Rate II volumetric block rates for residential customers.

c) Tariff Changes

The Joint Proposal describes tariff changes related to the MRA and provides summaries of other tariff changes required to implement various provisions of the Joint Proposal.

G. Performance Metrics

1. Electric Performance Metrics

The Joint Proposal continues the existing Electric Reliability Performance Mechanisms ("RPM") with two modifications (Appendix 18).

First, the Joint Proposal modifies the electric service reliability performance mechanism, and proposes to double the negative revenue adjustments associated with the outage interruption duration ("CAIDI")[16] and frequency ("SAIFI") metrics.[17] The prior rate plan included a total negative revenue adjustment of $20 million for the four electric service reliability performance metrics (i.e., $5 million for Network CAIDI, $5 million for Radial CAIDI, $5 million for Network SAIFI, and $5 million for Radial SAIFI), but the Joint Proposal increases this to $40 million ($10 million per metric). Staff's testimonial position was to increase the SAIFI and CAIDI negative revenue adjustments to $15 million for each metric (total of $60 million), and the Company's testimonial position was to maintain the SAIFI and CAIDI negative revenue adjustments at $5 million per metric (total of $20 million). The Signatory Parties have agreed to $10 million per metric (total of $40 million), which is a compromise between the Staff and Company proposals for this metric.

Second, the Joint Proposal reduces the number of over duty circuit breakers the Company needs to replace annually. In its initial testimony, the Company had proposed to entirely eliminate the Over Duty Circuit Breaker performance measure because significant progress made under this program since its inception and technology changes in how distributed energy

[16] CAIDI – Customer Average Interruption Duration Index. The average interruption duration time (customers-hours interrupted) for those customers that experience an interruption during the year.

[17] SAIFI – System Average Interruption Frequency Index. The average number of times that a customer is interrupted per 1,000 customers served during the year.

resources connect to the Company's electric system had eliminated the need for this metric. Staff's testimonial position was to maintain the Over Duty Circuit Breaker metric at its current level of 180 replacements over a three-year rate plan. The signatory parties agreed that Con Edison would continue the Over Duty Circuit Breaker metric with a target of 30 replacements per rate year, which is a compromise between the Company and Staff proposals for this metric.

Con Edison had also proposed other changes to the electric performance metrics and RPMs in its initial filing. Most notably, the Company proposed to use a compound measure of electric reliability performance using SAIFI in conjunction with CAIDI by increasing the CAIDI target by the amount the Company outperformed the SAIFI target to address concerns with system improvements having a negative impact on CAIDI performance. Con Edison made concessions on these issues and agreed to the significant increase in the negative revenue adjustment for electric service reliability performance mechanism to reach an overall settlement agreement.

2. Gas Performance Metrics

The Joint Proposal generally continues the gas safety performance metrics established in the Company's 2023 Gas Rate Plan, with more stringent targets as Staff recommended.

Con Edison had proposed different modifications to the targets and applicable negative revenue adjustments in its rate filing, as well as new positive incentives to reward superior performance. To reach an overall settlement, the Company accepted the Staff-proposed modifications, which impose unprecedented requirements. In particular, Con Edison agreed to eliminate all positive revenue adjustments associated with gas safety performance metrics under this Rate Plan to address concerns related to affordability.

The Joint Proposal also includes opportunities for modest levels of offsetting credits that can only be used in the year that they are earned to mitigate any applicable negative revenue

adjustments. In the event that offsetting credits exceed applicable negative revenue adjustments, there will be no incentive or revenues paid to the Company under the Joint Proposal. The result is that the offsetting credits continue to provide an incentive to the Company to provide its customers with superior performance, but there are no additional revenues paid by customers to the Company.

The Joint Proposal maintains the retirement/replacement target under the Gas Infrastructure Reduction or Replacement Program ("GIRRP") (formerly known as the Main Replacement Program) at 80 miles annually. This target properly balances the Company's obligation to maintain a safe and reliable gas distribution system for its existing 1.1 million customers with the recognition that the gas system must adapt over time to help reduce building emissions and maintain consistency with statewide clean energy goals. The GIRRP is an essential component of Con Edison's efforts to maintain safe and reliable service, and it is imperative to continue replacing high-risk pipe at a reasonable pace until or well before the very last gas customer has been converted to an alternate source of clean energy.[18] This is a sound approach for safety, reliability and emissions goals.

At the same time, the Joint Proposal recognizes that Con Edison must prepare for electrification and look for opportunities to reduce risk by retiring rather than replacing pipe. The Joint Proposal's annual mileage target maintains safety while allowing for expected decreases in system use as electrification increases.

[18] The Company notes that the GIRRP is the only preventative safety program to reduce incoming leaks, but by no means the only safety-related program focused on addressing leaks. Additional programs include installing AMI-enabled natural gas detectors at customer premises, conducting monthly leak surveys of the Company's service territory (instead of on an annual basis, as required by Commission regulations), strategically deploying advanced leak detection technology, and conducting public awareness campaigns, among other programs.

Additionally, the Joint Proposal explicitly recognizes that eliminating leak-prone pipe can be accomplished by either replacement or retirement. The program will continue to support safety, as well as retirement of the gas system. Lastly, it bears emphasizing that in addition to the important safety benefits associated with this program, elimination of leak-prone pipe also has significant emissions reduction benefits, which the Commission has consistently recognized.[19]

3. Customer Service Performance Metrics

The Joint Proposal continues the Company's existing customer service performance metrics, albeit with changes to tighten one performance target and increase two potential negative revenue adjustments.

The Joint Proposal maintains the Company's current performance targets for all four metrics in the Company's Customer Service Performance Mechanism: call answer rate, customer complaint rate, the emergency interactions survey, and the non-emergency interactions survey. The Company is currently exposed to 35 combined basis points of potential negative revenue adjustments across these four metrics, equivalent to $98.7 million. That figure represents an increase of 179 percent above the $35.3 million that the Company had at risk three years earlier under its previous rate plan. Here, the Joint Proposal increases the Company's maximum

[19] Case 19-G-0309, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service, et al.*, Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements (issued August 12, 2021); Case 20-E-0428, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Central Hudson Gas & Electric Corporation for Electric Service, et al.*, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan (issued November 18, 2021); Case 20-E-0380, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation d/b/a National Grid for Electric Service, et al.*, Order Adopting Terms of Joint Proposal, Establishing Rate Plans and Reporting Requirements (issued January 20, 2022); Case 21-E-0074, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Orange and Rockland Utilities, Inc. for Electric Service, et al.*, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans, with Additional Requirements (issued April 14, 2022).

negative revenue adjustments for the call answer rate and customer complaint metrics from 10 basis points to 12 basis points by Rate Year 3. As a result, the Company will have a total risk of 39 basis points, or an estimated $135.2 million, by Rate Year 3, for these four metrics.

Given Con Edison's strong track record for meeting its customer performance targets, the Company does not believe that these increased penalties are necessary to ensure high levels of customer service. The Company nevertheless agreed to them as part of the settlement, even as it faces a more challenging operating environment and made significant concessions on the staffing it needs to continue meeting these performance targets.

In addition, as discussed more fully in Section K.5 of this statement, the Joint Proposal tightens one of the Company's performance targets for the separate long-term estimated and delayed billing metric. This change will increase the Company's risk for a negative revenue adjustment.

H. Customer Energy Solutions Provisions

The Joint Proposal requires Con Edison to implement certain programs aimed at helping customers navigate the clean energy transition.

1. Customer Analytics Reporting and Engagement ("CARE") Program

The Joint Proposal encourages Con Edison to continue developing tools to assist customers, developers, contractors, and others in selecting clean energy options by:

- recommending clean energy programs and technologies potentially suitable for their home/facility,
- explaining financial considerations relevant to their choices (potential bill impacts, return on investment), and
- explaining expected non-energy benefits, rate products, and clean energy program recommendations.

These tools will facilitate participation in clean energy programs and influence movement toward a clean energy future. The Joint Proposal enhances the Company's quarterly status reports on the tools' development, budgets and spending, outreach and education, milestones, and metrics.

2. Heat Pump Operating Economics Customer Engagement Plan (Engagement Plan)

To educate consumers on heat pump use and availability, the Company will develop the Heat Pump Operating Economics Customer Engagement Plan (the "Engagement Plan"). The Joint Proposal requires Con Edison to include special rates, marketing and outreach, educational initiatives and guidance for contractors and stakeholders, and to incorporate certain CARE tools into the Engagement Plan. The Company will engage in an interactive process with stakeholders to develop and approve the Engagement Plan after Commission approval of the Joint Proposal.

3. EAMs

EAMs incent utilities to improve clean energy programs that help reduce emissions. Reflecting significant compromises among the settling parties, the Joint Proposal includes three EAMs to encourage Con Edison to achieve ambitious peak demand reduction, and interconnection timeline targets:

- Demand Response – increasing operationally available demand response resources from customers enrolled in these programs
- Commercial Managed Charging – increasing program enrollment to encourage participants to avoid EV charging during network peak hours.
- Transportation/Building Electrification Interconnection Timeline – reducing interconnection timelines for transportation electrification projects and building interconnection projects.

The targets set by these EAMs support policy goals and/or exceed historic achievement levels. To meet these EAM targets, Con Edison will need to develop creative new ways to engage customers and the marketplace, enhance organizational capabilities, and streamline core

processes while not compromising safe, reliable service. If successful, the Company will assist in meeting CLCPA objectives and improve customer outcomes.

4. Building Energy Usage Data

Under the Joint Proposal, Con Edison will provide whole-building energy benchmarking data at the Building Identification Number, or BIN level, as included in New York City records, upon request through data available in the portal for New York City customers to foster compliance with City Local laws.

I. Additional Electric Provisions

1. Reliability Projects Due to Generator Retirements

The Joint Proposal recognizes that Con Edison may file a petition with the Commission seeking recovery of incremental costs associated with transmission or distribution projects due to generator retirements that the Company determines are necessary to maintain reliability, and that no Joint Proposal signatory is prevented from opposing such a petition, except on the grounds that filing or granting such a petition would violate the Joint Proposal.

2. Streetlight Registry

The Joint Proposal authorizes Con Edison to engage in a Phase 0 Assessment to set the parameters for a new Streetlight Registry to ascertain whether existing Con Edison and New York City Department of Transportation systems can be used or leveraged to satisfy some of the parameters of a new system, develop a cost estimate for the new system, and establish a framework for ownership, operation, maintenance, and access to the new system.

3. Streetlight Metric

Under the Joint Proposal, Con Edison has agreed to enter into a Memorandum of Understanding with the New York City Department of Transportation to establish a process to complete urgent streetlight repairs as soon as possible. The Memorandum of Understanding will

include, among other things, a definition for urgency, notification requirements, and escalation procedures.

4. Safety Inspection Program Pilot

The Joint Proposal authorizes Con Edison to conduct a pilot under its Safety Inspection Program from January 1, 2026 to December 31, 2030. Under the pilot, the Company will not hydro vacuum solid debris from underground structures at some low and medium priority underground structures. The Company will continue to remove standing water to allow safe access and evaluation. To be eligible under the pilot, most of the structural wall must be visible and any debris shall not interfere with the inspection of equipment required by the Electric Safety Standards.

The Company will use 360-degree view and infrared cameras to facilitate on-site inspections at structures that require cleaning only to enable an employee or contractor to enter the structure to perform the inspection. In addition to on-site camera review, the Company will also perform stray voltage and atmospheric testing at these locations.

A statistically significant sample of structures exempted from hydro-vacuum cleaning will be reviewed by Company Engineering to validate inspection outcomes. The Company will include this information in the annual report in Case 04-M-0159. The Company will also include the number of structures not hydro-vacuumed and estimates of avoided costs.

5. Service Requests

The Joint Proposal requires Con Edison to host a meeting with interested parties to improve communications, cooperation, and understanding of key project timelines and milestones related to electric service requests by customers within 60 days of the Joint Proposal becoming effective.

6. Westchester Annual Meeting

The Joint Proposal requires Con Edison to meet with all interested Westchester municipalities and other government representatives within Westchester County during the terms of the Rate Plans to review the Company's electric and gas capital projects in Westchester County. Con Edison's subject matter experts, including engineering and operations leadership, will participate in the meeting and identify projects within Westchester County that have been prioritized for safety and reliability, storm preparedness, and to meet growth. Con Edison will also provide data on the relative level of spending in New York City and Westchester County. Con Edison will schedule the meetings in the first quarter of each year and offer both in-person and virtual options.

J. Additional Gas Provisions

The Joint Proposal includes several gas provisions proposed by the Company and other parties that will provide safety, environmental, and economic benefits to customers and the public.

1. AMI-Enabled Natural Gas Detectors ("NGDs")

AMI-enabled NGDs are safety devices installed indoors near the gas point-of-entry and head of service valve intended to provide continuous monitoring of atmospheres for a concentration of methane that result in an alarm. When a NGD alarms, this alarm information is transmitted through the AMI network to the Gas Emergency Response Center, which will then notify the local fire department and dispatch a Gas Distribution Services mechanic to respond to the potential gas leak using normal leak response protocols. The development of methane sensor technology, in combination with the Company's AMI communication network, presents a unique opportunity to pair remote methane detection with the AMI communication infrastructure that

will improve public safety. Tariff changes included in the Joint Proposal will require all customers to install this safety device as a condition of receiving service. The Joint Proposal requires Con Edison to file an annual report related to the installation of AMI-enabled NGDs. Reporting will include information related to the number of units installed, installation costs, alarms received, and actions in response to alarms.

2. First Responder Training

The Joint Proposal requires Con Edison to continue working with Staff, local fire departments, and emergency management organizations to adopt the principles of the Pipeline Emergency Responders Initiative.[20] The Joint Proposal further requires Con Edison to continue enhancing its gas emergency training for local fire departments and municipalities. Further enhancements will include more hands-on training, improvements to the training curriculum, and an increased frequency of drills and other training targeted at improving awareness of and response to natural gas leak emergencies.

3. Meter Relocation

The Joint Proposal requires Con Edison to continue annual reporting on the Company's efforts to relocate gas meters from inside customer premises to outside. Meter relocations facilitate the survey and inspection efforts required by the Commission's amended definition of a gas service line by enabling the Company to conduct surveys/inspections without having to gain access to customer premises.

4. Electric Burnouts Affecting Gas Utilities

The Joint Proposal requires Con Edison to report on electric burnouts affecting gas facilities in accordance with the requirements in Case 17-G-0316. The Joint Proposal further

[20] For a description of PERI, see https://www.phmsa.dot.gov/pipeline/peri/peri-faqs.

directs the Company to document activities related to electric burnouts affecting gas facilities and identify additional measures to reduce the number of electric burnouts on gas facilities.

5. Advanced Leak Detection

The Joint Proposal requires Con Edison to file annual reports associated with the Advanced Leak Detection surveys that identify: (1) the miles of pipe surveyed; (2) the number of leaks identified; (3) the pipe age, pipe material, and leak flow rate for each high emissions leak;[21] and (4) the estimated methane emission reductions achieved by repairing high emissions leaks.

6. Renewable Natural Gas

To mitigate cost impacts on customers, the Joint Proposal requires all costs necessary to interconnect local renewable natural gas supplies to be funded by developers rather than customers.

7. Non-Pipeline Alternatives

Under the Joint Proposal the Company agrees to enhance its outreach and education efforts related to the Energy Exchange NPA program. The Company will continue to provide detailed annual updates through its NPA Implementation Plan and NPA Annual Report. The Company has agreed to convene a Technical Conference on NPAs by the end of Rate Year 1 to solicit input from interested parties to inform the Company's 2027 Gas Long Term Plan filing. The information presented will be filed in the Company's Gas Long Term Plan Proceeding, Case 23-G-0147. The Company will engage with DPS Staff and other stakeholders, using anonymized examples of its NPA processes, to demonstrate its commitment to providing as many opportunities for NPAs as possible.

[21] "High emissions leaks" are defined as leaks with emission rates of ten standard cubic feet per hour, or greater.

K. Customer Operations Provisions

The Joint Proposal includes provisions that continue to enhance Con Edison's commitment to customer service, including unprecedented levels of transparency, accountability, and support for vulnerable customers.

1. Bill Transparency

Amid growing concerns over the affordability of utility service, it is important that customers and other stakeholders better understand where their energy payments go. The Company will take the first step toward greater transparency, beyond that required by Commission regulations, by providing customers with data on municipal property taxes, one of the largest single components of customer delivery charges. To that end, the Company will itemize on customers' bills the dollar amount attributable to municipal property taxes and direct customers to a website detailing the Company's property tax payments to New York City, municipalities in Westchester County, and other jurisdictions where the Company owns property. The Company will hold a stakeholder meeting during Rate Year 1 to obtain input on the contents of this new website.

2. Customer Outreach and Education

The Joint Proposal requires Con Edison to expand efforts to inform and educate customers about their rights and available programs. These varied initiatives will better enable the Company to meet its customers where they are, providing timely information on important subjects in the diverse languages its customers speak.

First, the Company will greatly expand its language access initiatives by producing key brochures, in-person event materials, direct mail, flyers, and print advertising in 12 languages other than English: Spanish, Russian, Chinese, Korean, Polish, Bengali (Bangla), Haitian-Creole, Urdu, Yiddish, Arabic, French, and Italian. The Company has committed to producing many of

its most important customer materials in all of these languages, including its annual notice of rights and responsibilities for residential customers; brochures and flyers on gas safety, electric safety, payment assistance, and scam awareness; and information on its Energy Affordability Program ("EAP") and the new Enhanced Energy Affordability Program ("EEAP") for low- and moderate-income customers who are not eligible for the existing EAP.

The Company will further engage with customers who speak languages other than English by asking for customers' language preferences when they start service, adding language translation information to termination notices, prioritizing non-English-language skills in hiring new customer service representatives, and creating a new Language Assistance website with links to translated resources and information on how customers can get help from Con Edison in the languages they speak.

Second, the Company will undertake efforts to provide more information to customers facing the prospect of termination for non-payment. To that end, the Company will include links to information about its EAP and deferred payment agreements on final residential termination notices, provide more information on resources to support tenants in multiple dwellings subject to termination, and reach out to organizations representing landlords to help landlords reduce arrears and avoid termination of service to their tenants.

And third, the Company will enhance its outreach to potential EAP applicants. The Company will continue to partner with and conduct outreach to community-based organizations to promote the EAP. The Company will also undertake targeted outreach to customers who were recently enrolled in the EAP, but no longer are, to show them how to re-enroll in the program, if still eligible.

3. Weather-Related Customer Protections

The Joint Proposal expands Con Edison's protections against termination for customers during extreme heat events, which are already the strongest in New York State. Under its existing rate plan, the Company will suspend service termination for non-payment for residential customers on days when the National Weather Service forecasts the heat index in Central Park to reach 90 degrees Fahrenheit or higher, as well as one day before; and if the heat index reaches 90 degrees Fahrenheit, the Company will also suspend terminations for non-payment on the following two calendar days. The Joint Proposal enhances these protections by requiring the Company to base its heat index measurements not on a single weather station in Central Park, but on the highest of three weather stations spread around New York City: Central Park, LaGuardia Airport, and JFK Airport. Because these additional weather stations often report higher heat indexes than the current sole weather station in Central Park, the Company expects that this change will further increase the number of days on which it suspends termination of service for non-payment for residential customers.

The Joint Proposal also maintains Con Edison's existing protections against termination for residential customers during extreme cold events, which exceed the Company's obligations under Commission regulations.

These protections represent a significant compromise by the Company as it seeks to balance the potential hardship of service terminations with the risk that forgoing terminations will lead to larger customer balances and increased arrears.

4. Electric Heating Customers

The Joint Proposal commits the Company to new efforts to identify customers who use electricity for their heating needs. Customers coded in the Company's billing system as using electric heat may obtain greater benefits under the federally funded Home Energy Assistance

Program, larger bill discounts under the Company's EAP, and increased protections against termination for non-payment.

To those ends, the Company will develop analytical tools to identify residential customers who use electricity for heating, considering factors like whether customers also have natural gas service and whether their use of electricity increases in the winter. The Company will reach out to customers identified through this analysis to determine whether they are responsible for their own electric heating needs. The Company will also create training materials for customer service representatives ("CSRs") and others on how to code customers for electric heating and develop questions for CSRs to ask customers to reduce the need for on-site inspections to verify the presence of electric heating. The Company will also file an annual report with the Commission with data on these efforts. Taken together, these efforts will enhance affordability for electric heating customers.

5. Customer Billing Issues

In its current rate plan, the Company committed to a first-of-its-kind metric for long-term estimated and delayed billing and unprecedented reporting on the incidence of estimated and delayed bills, broken down by service class, commodity supplier, meter type, and other customer attributes. The results of these commitments have been significant: from the baseline level in 2022 through the third quarter of 2025, the percentage of residential electric, residential gas, and non-residential electric non-demand customers (excluding NYPA) receiving no bills or only estimated bills for 125 days or more fell by 72.4 percent (from 2.21 percent to 0.61 percent). Over the same period, the percentage of non-residential electric demand customers, NYPA electric customers, and non-residential gas customers with long-term estimated or delayed bills fell by 84.5 percent (from 9.73 percent to 1.51 percent).

To further address customer billing concerns, the Joint Proposal provides for tighter performance metrics, increased transparency, and greater consultation over billing-related issues.

First, the Joint Proposal tightens the performance targets for the Company's long-term estimated and delayed billing metric for residential electric, residential gas, and non-residential electric non-demand customers (excluding NYPA). The Joint Proposal reduces the threshold at which the Company would incur a negative revenue adjustment by nearly 25 percent (from 1.77 percent to 1.34 percent), which will incentivize the Company to maintain its high level of performance.

Second, the Company will provide even more granular reporting on its rates of estimated and delayed billing. Currently, the Company reports on the number of accounts that last received an actual bill and the number of accounts that last received any bill for three time periods: 90-125 days ago, 126-180 days ago, and more than 180 days ago. Under the Joint Proposal, the Company will now provide this data for seven time periods: 35-65 days ago, 66-95 days ago, 96-125 days ago, 126-180 days ago, 181-365 days ago, 366-548 days ago (i.e., 12-18 months ago), and more than 548 days ago (i.e., more than 18 months ago). This increased level of detail will help the Company and stakeholders better understand and address how short-term billing issues can, on occasion, develop into long-term billing issues.

Third, the Company will institute more formal consultative procedures for addressing billing and account management issues experienced by New York City. While the Company's billing representatives already meet frequently with New York City officials to discuss billing and account management issues, the Joint Proposal formalizes these meetings and provides a regular cadence for the parties to exchange information. As necessary, the Company will also

meet separately with NYPA and other NYPA customers, apart from New York City, to address any billing issues they experience.

Finally, as described further in Section M, below, the Company will undertake new reporting and billing processes to address specific billing concerns raised by energy service companies.

L. Electric and Gas Low Income Programs

Con Edison has expanded the size and scope of its EAP in compliance with Commission orders. As before, the EAP provides discounts on monthly bills for electric SC 1 and gas SC 1 and SC 3 customers who participate in qualifying government assistance programs. The Joint Proposal increases the target budget for the electric low-income discount program to $213.7 million per Rate Year (up from $166.3 million annually three years ago) and the target budget for the gas low-income discount program to $43.6 million per Rate Year (up from $35.8 million annually three years ago). While those amounts represent the Company's targets, all qualifying customers, without limit, will be accepted into the program.

The Joint Proposal further provides that the Company will no longer charge customers enrolled in the EAP its standard fee to reconnect their service when their service is terminated for non-payment. Previously, customers enrolled in the EAP were subject to the same fee as other customers but were eligible for fee waivers, and the cost of those waivers was included in the Company's EAP program budget. Because the Company will no longer charge reconnection fees to customers enrolled in the EAP, it no longer needs to offer waivers of those fees. The elimination of reconnection fee waivers reduced the EAP's target budget in the Joint Proposal and will reduce the ultimate cost of this program to all customers.

As described more fully in Section K.2 above, the Company will undertake increased outreach to customers and community groups to promote enrollment in its EAP.

Finally, the Company will also expand its low income programs in Rate Year 1 by implementing a new EEAP, as required by Commission orders in Cases 14-M-0565 and 23-M-0298. Under the EEAP, all residential customers whose income falls below 100 percent of the area median income but are not eligible for the existing EAP will be able to enroll in a new two-year pilot program that provides three tiers of bill discounts based on the customer's income. The Company expects to begin accepting applications for the EEAP through a third-party clearinghouse beginning in January 2026.

M. Retail Access Issues

The Joint Proposal further expands the Company's efforts to partner with energy service companies ("ESCOs") to deliver customers the energy they buy in the competitive retail market.

The Joint Proposal maintains reporting requirements included in the Company's current rate plan, including regular meetings and monthly reporting on the status of system issues that affect the exchange of information between Con Edison and ESCOs. In addition, while the incidence of long-term estimated and delayed bills for ESCO customers has declined significantly over the last three years, the Company will undertake two new initiatives to address ESCOs' concerns regarding customer billing issues.

First, the Company will send each ESCO in its service territory two new monthly reports on customer billing issues. The first report will identify the ESCO customers who did not receive a bill in the most recent month; the second report will identify the ESCO customers whose accounts are awaiting billing adjustments due to a discrepancy between the Company's billing system and its Retail Access systems. Both of these reports will give ESCOs more insight into

customer billing issues that might affect their operations and facilitate communication between ESCOs and the Company over any unresolved issues.

Second, the Company will create a new process in its billing system to automatically escalate for supervisory review any ESCO customer accounts for which the Company has canceled a bill but not issued a revised bill within 10 days of the bill cancellation. This new billing exception will better enable the Company to identify and remediate billing issues that ESCOs have identified as an area of concern. The Company will also enhance training for back-office billing staff on the importance of issuing revised bills in a timely manner following cancellation of customer bills.

While Con Edison submits that its existing reporting mechanisms and billing procedures are more than sufficient, it has agreed to these increased obligations in the context of an overall settlement that includes ESCO representatives.

N. Clean Energy Transition

1. Disadvantaged Communities Reporting

The Joint Proposal requires Con Edison to file an annual report on the results of certain Company programs and electric service outages in disadvantaged communities. The report will include a narrative discussion of the data reported on, explaining, among other things, how the Company tracked and collected the data, assumptions used in the report and, for energy efficiency, an explanation of the Company's efforts to reach disadvantaged and low-income customers. The report will be followed by a stakeholder meeting. The report will include data on Clean Energy Spending, Electric Vehicle Make Ready Program, Demand Response, DERs, Strategic Electric Capital Investments, Customer Outages, Main Replacement, Leak Repairs, Clean Energy Jobs and Customer Operations. This reporting requirement goes far beyond current

legal requirements. It accordingly reflects the Company's commitment to assess how its operations affect disadvantaged communities, regardless of whether it is a CLCPA requirement. These reporting requirements will also provide the Commission and interested stakeholders with valuable data to inform ongoing CLCPA implementation regarding the provision of benefits to interested communities.

2. Greenhouse Gas Emissions Reporting

Under the Joint Proposal, the Company has committed to provide regular reporting on the GHG emissions associated with the projects and programs funded by the Rate Plans. A quantification of GHG emissions, in metric tons of carbon dioxide equivalent, using 2024 actual emissions as a reference, anticipated during the term of the Rate Plan is being filed as a separate sworn statement concurrently with this Statement in Support. This GHG emissions forecast reflects certain projected gas and electric system emissions and further breaks out the emissions impacts of some projects and programs funded by the Joint Proposal. In addition, the Company will file a report providing 2025 actual emissions by May 31, 2026. This report will include an update of the 2026-2028 GHG emissions forecast, as compared to 2025 actual emissions.

The Company has further committed to file an annual report and associated workpapers by May 31 following each rate year providing actual GHG emissions and emissions impacts (year-over-year increases or reductions) for each rate year.

O. Miscellaneous Provisions

The Joint Proposal contains miscellaneous provisions generally standard in multi-year rate plans, including, for example, provisions that control which Joint Proposal provisions remain in effect until the Commission resets base delivery rates and the circumstances under

which it may be necessary or appropriate to change the Con Edison's rates during the Joint Proposal's term.

The Joint Proposal continues provisions for the Company to defer on its books of account the full variance, up or down, resulting from changes in tax laws and/or other laws, rules and regulations that result in a change in the Company's annual electric or gas costs, expenses or revenues in an amount equal to or more than ten (10) basis points ("new laws provision"). The new laws provision in this Joint Proposal includes a new surcharge. In order to recognize a revenue deferral under Generally Accepted Accounting Principles, the Company needs a mechanism to recover the revenue within 24 months. To enable the Company's regulatory accounting to match its financial accounting, the Joint Proposal includes a surcharge for revenues (while variances in costs/expenses will continue to be deferred until the next rate case).

The Joint Proposal continues certain "Financial Protections" provisions, including those that require the Company to provide Staff with its actual financial statements, its five-year earnings forecasts, and notify Staff when there are material changes to the five-year forecasts. Provisions related to ring-fencing were present in prior rate plans, but are not included in this Joint Proposal. Due to the sale of the Company's competitive businesses, there is no need for provisions to monitor whether the Company's financial position could be negatively affected by its parent company's activity in non-Commission regulated businesses.

IV. The Joint Proposal Is Consistent with the CLCPA

The Settlement Guidelines require the Commission to consider whether a settlement agreement is consistent with State law and Commission policy. The Joint Proposal is consistent with both, including the CLCPA.

A. The Joint Proposal Satisfies CLCPA Section 7(2)

CLCPA section 7(2) requires the Commission to determine whether a proposed rate settlement is directionally consistent with the State's emissions goals.[22] The Commission has found that a rate settlement complies with the CLCPA's emissions goals to the extent it "appropriately balance[s] the interests in reliability, public safety, and reasonable rates with emission reductions and clean energy objectives;" and serves as "an important step in the ongoing process of achieving the CLCPA's greenhouse gas limits, one that will be built upon in future rate cases and other Commission proceedings."[23]

The Joint Proposal complies with CLCPA section 7(2). The projects and programs funded by the Joint Proposal are an important step in implementing the CLCPA because they enable heating electrification, promote energy efficiency and electric vehicles, reduce carbon dioxide and methane emissions, and maintain safety and reliability, which are all required to meet the CLCPA's goals.

For example, the projects and programs funded by the Joint Proposal will reduce or enable emissions reductions.

1. Gas Investments and Programs Authorized by the Joint Proposal

- Main and Service Replacement Program: The program prioritizes high-risk pipe for replacement to support safe and reliable service and reduce fugitive emissions.

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[22] Case 19-G-0309 *et al*., *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service*, Order Approving Joint Proposal, As Modified, And Imposing Additional Requirements (Aug. 12, 2021), pp. 69-70.

[23] Case 20-E-0380 *et al*., *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation d/b/a National Grid for Electric Service*, Order Adopting Terms of Joint Proposal (Jan. 20, 2022), p. 83.

- LNG – Nitrogen Refrigeration Cycle Replacement Project: The project addresses the operational need to store backup gas and supply public utility customers during system contingencies by replacing an obsolete liquefaction turbine at the Company's Astoria LNG Plant with a new turbine that reduces potential CO2 emissions from the liquefaction process.

The Company's gas investments and programs are forecasted to result in emissions savings of 62,288 metric tons of CO2e (compared to 2024 actuals) over the three-year rate plan.

2. Forecasted Electric and Gas Sales Volumes in the Joint Proposal

In reviewing post CLCPA rate case settlements, the Commission has also evaluated emissions attributable to forecasted electric and delivery volumes against emissions savings expected from utility programs. When compared to expected emissions reductions under the Company's programs, the emissions total was reduced to 83,529,783 metric tons of CO2e over the three-year rate plan.[24]

Projected Electric and Gas Delivery Volume Emissions Impact*
Years ending December 31, 2026, December 31, 2027, December 31, 2028

	Electric				Gas			
	Volume (GWh)		MT CO2e Emissions		Volume		MT CO2e Emissions	
Year	Total	Growth	Total	Growth	Total (MDt)	Growth	Total	Growth
2026	53,867	-	21,180,221	-	168,617	-	8,963,243	-
2027	54,210	343	21,315,087	134,866	165,682	-2,935	8,807,241	-156,002
2028	54,936	726	21,600,547	285,459	163,145	-2,537	8,672,370	-134,871
Three-Year Rate Period		**1,069**		**420,325**		**-5,472**		**-290,873**

* Expressed in CLCPA terms using 20Yr GWP

Electric Emission Rate	865.7 Lb CO2e/MWh	EPA 2023 eGRID
Gas Emission Rat	1.17E+05 lbCO2e/MDT	EPA Emission Factors Hub

[24] The net emissions impact is the result of the following: [total 3-year emissions for electric and gas of 90,538,709 metric tons of CO2e] – [total emissions reductions under the Company's Building Electrification and Electric Vehicles programs of 7,008,926 metric tons of CO2e] = 83,529,783 metric tons of CO2e.

3. Indirect Investments and Programs Included in the Joint Proposal

Certain programs and projects authorized by the Joint Proposal have significant but indirect nexuses to emissions reductions. Consequently, typical calculation methods for emissions reductions are inapplicable. Nonetheless, these programs and projects, illustratively described below, provide essential support for the CLCPA's emissions goals.

- Gateway Park Area Station: Gateway will deliver offshore wind energy and add system capacity for electric vehicle and electric heating adoption. The station will also improve reliability by facilitating the creation of geographically smaller electrical networks.
- Retrofit Overduty 13/27kV Breakers: The Company will retrofit certain 13 and 27 kV circuit breakers to enable clean distributed generation resources to connect to the system. The upgrades also help meet reliability standards by reducing the likelihood of equipment and substation failures.
- Parkview Transformer and Feeder Installation: The installations will facilitate the following: reduction of vehicular traffic and related emissions based on the expansion of the Second Avenue subway line; electrification of heating; and expansion of renewable energy from Mott Haven.
- Williamsburg Network Improvement: The improvement will increase feeder capacity to enable electrification of transportation and heating.

In short, the Commission should find that the Joint Proposal is directionally consistent with the CLCPA's emissions goals.

4. Clean Energy Investments and Programs Authorized Outside of the Joint Proposal

The projects and programs funded by the Joint Proposal work in conjunction with programs authorized in other proceedings to achieve the CLCPA's goals, such as:

- Energy Efficiency and Heating Electrification: The Company supports the State's clean energy objectives through the New Efficiency New York Energy Efficiency and Clean Heat programs. These programs prioritize energy savings, deliver greenhouse gas emissions reductions, provide clean heating alternatives, support low- and moderate-income customers and communities, and help customers manage their energy use.

- Electric Vehicles: Company programs that promote electric vehicles ("EV") include the SmartCharge NY program, the Smart Charge Commercial program, the SmartCharge Tech program, the PowerReady program, and the Medium- and Heavy-Duty ("MDHD") EV Charging Infrastructure Pilot Program. The SmartCharge NY and Smart Charge Commercial programs incent EV drivers to shift to off-peak charging and thereby lessen the impacts of EV charging on the local grid. The Smart Charge Technology program provides support for enabling hardware and software. The PowerReady program provides incentives for make-ready infrastructure to facilitate charger installations. This program also provides greater incentives to customers in disadvantaged communities and includes an offering focused on micromobility charging infrastructure. The MDHD EV Charging Infrastructure pilot program offers incentives for medium and heavy duty fleet charging.

Considered with the activities authorized by the Joint Proposal, these programs demonstrate that Con Edison is acting in a proactive and comprehensive way to help the State achieve the CLCPA's requirements and that the Company's efforts comply with CLCPA section 7(2).

B. The Joint Proposal Satisfies CLCPA Section 7(3)

CLCPA section 7(3) bars the Commission from approving a rate settlement agreement that disproportionately burdens disadvantaged communities. In approving rate settlements under

this requirement, the Commission has cited the benefits disadvantaged communities receive from safe and reliable service at just and reasonable rates,[25] the benefits disadvantaged communities receive from projects that reduce emissions,[26] or the extent that projects or project construction occurs on property or rights of way that the utility owns or controls.[27]

The Commission should find that the Joint Proposal benefits disadvantaged communities. First, the Joint Proposal funds investments and maintenance necessary to maintain safe and reliable service for all communities, including disadvantaged communities. For example, the Joint Proposal funds the Primary Feeder Reliability Program, which will enhance reliability in disadvantaged communities by reducing the likelihood of outages and by preparing Con Edison's electric system for extreme heat from climate change; the Selective Undergrounding Program, which will enhance electric-system resilience in disadvantaged communities by including status as a disadvantaged community as one of the criteria to be considered when determining which equipment to underground; the Crown Heights Network Split, which is needed to maintain reliability and accommodate electrification in a network that serves disadvantaged communities; the Williamsburg Network Improvement project, which is needed to meet load growth including electrification, and enhances reliability and resiliency by introducing switching in a network that

[25] Case 19-G-0309, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service, et al.*, Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements at 73-74, 81-82 (issued August 12, 2021) (Grid); Case 20-E-0380, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation d/b/a National Grid for Electric Service, et al.*, Order Adopting Terms of Joint Proposal, Establishing Rate Plans and Reporting Requirements, 80, 90 (issued January 20, 2022) (Niagara Mohawk); Case 21-E-0074, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Orange and Rockland Utilities, Inc. for Electric Service, et al.*, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans, with Additional Requirements at 76-77 (issued April 14, 2022).

[26] Niagara Mohawk at 90.

[27] Grid at 81-82; Niagara Mohawk at 91.

serves disadvantaged communities; the Parkview TR5 and Feeder 38M85 project, which will facilitate the MTA's 2nd Avenue subway expansion and building electrification in disadvantaged communities; and increased storm response funding, which will help disadvantaged communities with overhead power lines.

Second, the Joint Proposal funds investments to reduce emissions or facilitate emissions reductions in disadvantaged communities. For example, the Joint Proposal funds the new Gateway Park Area Substation, which is needed not only to maintain reliability, but will also support electrification for disadvantaged communities and facilitate the delivery of offshore wind energy to New York City; and the Gas Infrastructure Replacement or Reduction Program, which will replace or remove leak-prone gas pipe, enhancing public safety and reducing fugitive methane emissions.

Third, as described above, the Joint Proposal requires Con Edison to go beyond legal requirements and file an annual report on the results in disadvantaged communities of certain Company programs, including clean energy programs and electric service outages.

Finally, the Commission should find that none of Con Edison's activities under the Joint Proposal impose a disproportionate burden on disadvantaged communities. All the activities under the Joint Proposal promote reliability or clean energy and no party has shown how these activities burden, let alone disproportionately burden, disadvantaged communities.

V. Remaining Settlement Guidelines Factors

The Settlement Guidelines require the Commission to consider whether the Joint Proposal was developed in accordance with all applicable procedures and whether all parties had the opportunity to participate in settlement discussions; whether the agreement is supported by parties with normally adverse interests; whether the result compares favorably with the likely

result of full litigation and is within the reasonably expected range of a potential litigated outcome; whether the agreement strikes a fair balance among customers, investors, and the Company; and whether there is a rational basis for decision. The Joint Proposal satisfies these criteria.

First, Con Edison provided appropriate notice of settlement negotiations in accordance with 16 NYCRR §3.9 (a) and provided all active parties the opportunity to fully participate in settlement discussions. In particular, the Company provided notice of all settlement meetings and/or teleconferences. The settling parties reached agreement after following all applicable Commission settlement procedures.

Second, the settling parties represent a broad range of diverse interests, including major commercial, residential, low income, and governmental customers and/or their representatives, environmental advocacy organizations, geothermal developers, and competitive energy suppliers.

Third, as explained throughout these comments, the Joint Proposal reflects compromises on contested issues that have produced results within the reasonably expected range of potential litigated outcomes.

Fourth, the Joint Proposal balances the interests of customers, the Company, and other important stakeholders. The Joint Proposal reflects compromises of the widely differing viewpoints of the numerous participants in the settlement process, including those of non-signatory parties. Indeed, certain aspects of the Joint Proposal reflect the input of non-settling parties. All participants had the opportunity to voice their concerns and a significant effort was made to address them.

A driving factor in Con Edison's consideration and support of the Joint Proposal was the benefit of multi-year rate plans, which provides customers rate stability and allows the Company to focus on operational improvement opportunities and implementation of the Commission's clean energy initiatives.

The settlement process enabled parties to fully explore their respective positions and reach a compromise. As with any compromise, individual provisions of the Joint Proposal may not be to the liking of one or more parties, and all parties, including Con Edison, made substantial and difficult concessions to reach this agreement. For example, the Joint Proposal authorizes significantly lower revenues than Con Edison sought, particularly with respect to ROE and operation and maintenance costs, which create greater challenges in attracting capital and meeting its service obligations. The Joint Proposal also exposes Con Edison to increased negative revenue adjustments, most notably for its customer service and electric performance metrics. Given the wide range of complex issues presented and the inherent litigation risk, the Company ultimately concluded that the Joint Proposal was reasonable on an overall basis, accepting the many provisions that were a significant departure from the Company's position as part of the give and take inherent in any compromise. Any opposition to one or more elements of the Joint Proposal must be measured against the numerous compromises that were negotiated to reach an agreement.

Finally, the record in these proceedings is extensive and provides a rational basis for the Commission to adopt the Joint Proposal without modification. In addition to the Company and Staff, eighteen parties submitted direct and/or rebuttal testimony in these proceedings, establishing a record comprising thousands of pages of testimony and exhibits. Parties subsequently engaged in discovery, with the Company responding to more than 2,200 formal

discovery requests on its rate case filings. In addition, all parties are being afforded the opportunity to submit statements or testimony in support or opposition to the Joint Proposal, as well as reply statements or testimony, and the Administrative Law Judges have scheduled a hearing on the Joint Proposal.

VI. Conclusion

The Joint Proposal complies with the Settlement Guidelines and is just, reasonable, and in the public interest. In addition, the Joint Proposal will permit Con Edison to continue providing safe and reliable service, complies with the CLCPA, and will advance the State's clean energy agenda. The Commission should adopt the Joint Proposal without modification.

The Joint Proposal is a reasonable compromise that reflects a balancing of interests. The Commission's Settlement Guidelines provides that "as a general proposition, settlement agreements will not be modified by the Commission without giving parties an opportunity to re-negotiate or litigate the modified positions." The Guidelines further state that if a remand is not feasible, the parties will still be given a "reasonable opportunity" to comment any proposed modification.[28] Accordingly, if the Commission decides not to approve the Joint Proposal in its entirety, without modification, the Commission should remand the Joint Proposal to the parties or otherwise provide an opportunity for comments.

[28] Opinion 92-2, Opinion, Order and Resolution Adopting Settlement Procedures and Guidelines (March 24, 1992).

Respectfully submitted,

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New York, New York

Attachments to Con Edison's Statement in Support of the Joint Proposal

Consolidated Edison Company of New York, Inc.
National Average for ROEs
Cases 25-E-0072 and 25-G-0073

Company	*Rate Case Service Type*	*Increase Authorized Date*	*Return on Equity (%)*	*Common Equity to Total Capital (%)*
Public Service Co. NM	Electric	1/3/2024	9.26	49.61
NorthWestern Energy Group	Electric	1/9/2024	NA	NA
Appalachian Power Co.	Electric	1/9/2024	NA	NA
Black Hills Wyoming Gas LLC	Natural Gas	1/17/2024	9.85	51.00
Kentucky Power Co.	Electric	1/19/2024	9.75	41.25
UNS Electric Inc.	Electric	1/30/2024	9.75	53.72
Indiana Gas Co.	Natural Gas	1/31/2024	NA	NA
Sthrn IN Gas & Electric Co.	Natural Gas	1/31/2024	NA	NA
Texas Gas Service Co.	Natural Gas	1/31/2024	9.70	59.07
Jersey Cntrl Power & Light Co.	Electric	2/14/2024	9.60	51.90
Appalachian Power Co.	Electric	2/20/2024	9.50	48.31
Northern IN Public Svc Co. LLC	Natural Gas	2/21/2024	NA	NA
Virginia Electric & Power Co.	Electric	2/21/2024	9.70	50.33
Virginia Electric & Power Co.	Electric	2/28/2024	9.70	NA
Consumers Energy Co.	Electric	3/1/2024	9.90	41.13
Arizona Public Service Co.	Electric	3/5/2024	9.55	51.93
Oklahoma Gas & Electric Co.	Electric	3/7/2024	NA	38.39
Atmos Energy Corp.	Natural Gas	3/19/2024	NA	NA
PacifiCorp	Electric	3/19/2024	NA	NA
Virginia Electric & Power Co.	Electric	3/22/2024	9.70	52.10
Black Hills Colorado Gas Inc.	Natural Gas	3/24/2024	9.30	50.87
Monongahela Power Co.	Electric	3/26/2024	9.80	NA
MidAmerican Energy Co.	Natural Gas	3/29/2024	NA	51.50
Virginia Electric & Power Co.	Electric	3/29/2024	9.70	52.10
ENSTAR Natural Gas Co.	Natural Gas	4/8/2024	11.88	54.11
Southwest Gas Corp.	Natural Gas	4/8/2024	9.50	50.00
Southwest Gas Corp.	Natural Gas	4/8/2024	9.50	50.00
Southwestern Public Svc Co.	Electric	4/11/2024	NA	NA
AES Indiana	Electric	4/17/2024	9.90	44.36
Northeast Ohio NaturalGas Corp	Natural Gas	4/17/2024	9.75	51.42
Delmarva Power & Light Co.	Electric	4/18/2024	9.60	50.50
Spire Missouri Inc.	Natural Gas	4/24/2024	NA	NA
Virginia Electric & Power Co.	Electric	4/29/2024	9.70	52.10
Virginia Electric & Power Co.	Electric	4/29/2024	9.70	52.10
Virginia Electric & Power Co.	Electric	5/1/2024	9.70	52.10
Indiana Michigan Power Co.	Electric	5/8/2024	9.85	NA
Sthrn IN Gas & Electric Co.	Electric	5/15/2024	NA	NA
Washington Gas Light Co.	Natural Gas	5/30/2024	9.65	52.53
Virginia Natural Gas Inc.	Natural Gas	6/7/2024	NA	NA
Potomac Electric Power Co.	Electric	6/10/2024	9.50	50.50
Cleco Power LLC	Electric	6/19/2024	NA	NA
Duke Energy Carolinas LLC	Electric	6/20/2024	9.94	51.21
CenterPoint Energy Resources	Natural Gas	6/26/2024	9.80	60.61
Fitchburg Gas & Electric Light	Electric	6/28/2024	9.40	52.26
Fitchburg Gas & Electric Light	Natural Gas	6/28/2024	9.40	52.26
Indiana Michigan Power Co.	Electric	7/2/2024	9.86	40.20
Virginia Electric & Power Co.	Electric	7/3/2024	9.70	52.10
Virginia Electric & Power Co.	Electric	7/3/2024	9.70	52.10
Central Hudson Gas & Electric	Electric	7/18/2024	9.50	48.00
Central Hudson Gas & Electric	Natural Gas	7/18/2024	9.50	48.00
Consumers Energy Co.	Natural Gas	7/23/2024	9.90	NA
New Mexico Gas Co.	Natural Gas	7/25/2024	9.38	52.00

Consolidated Edison Company of New York, Inc.
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Company	*Rate Case Service Type*	*Increase Authorized Date*	*Return on Equity (%)*	*Common Equity to Total Capital (%)*
Appalachian Power Co.	Electric	7/26/2024	9.20	48.30
Virginia Electric & Power Co.	Electric	7/26/2024	9.70	52.10
Virginia Electric & Power Co.	Electric	7/26/2024	9.70	52.10
Atmos Energy Corp.	Natural Gas	7/29/2024	NA	62.38
Black Hills Kansas Gas Utility	Natural Gas	7/30/2024	NA	NA
Indiana Gas Co.	Natural Gas	7/31/2024	NA	NA
Northern IN Public Svc Co. LLC	Natural Gas	7/31/2024	9.75	52.39
Sthrn IN Gas & Electric Co.	Natural Gas	7/31/2024	NA	NA
Dominion Energy South Carolina	Electric	8/8/2024	9.94	52.51
Chattanooga Gas Co.	Natural Gas	8/12/2024	NA	49.23
MDU Resources Group	Electric	8/13/2024	NA	NA
MDU Resources Group	Natural Gas	8/13/2024	NA	NA
KeySpan Gas East Corp.	Natural Gas	8/15/2024	9.35	48.00
The Brooklyn Union Gas Co.	Natural Gas	8/15/2024	9.35	48.00
Duke Energy Florida LLC	Electric	8/21/2024	10.30	45.57
Green Mountain Power Corp.	Electric	8/26/2024	9.97	49.81
Oklahoma Natural Gas Co	Natural Gas	8/27/2024	NA	NA
Northern IN Public Svc Co. LLC	Natural Gas	8/28/2024	NA	NA
Roanoke Gas Co.	Natural Gas	9/4/2024	10.44	56.80
Peoples Natural Gas Co. LLC	Natural Gas	9/12/2024	NA	NA
Interstate Power & Light Co.	Electric	9/17/2024	9.87	51.00
Interstate Power & Light Co.	Natural Gas	9/17/2024	9.65	51.00
Boston Gas Co.	Natural Gas	9/18/2024	NA	NA
Sierra Pacific Power Co.	Electric	9/18/2024	9.74	52.40
Sierra Pacific Power Co.	Natural Gas	9/18/2024	9.45	52.40
Appalachian Power Co.	Electric	9/18/2024	NA	NA
Virginia Electric & Power Co.	Electric	9/19/2024	9.70	52.10
Idaho Power Co.	Electric	9/23/2024	9.50	50.00
Roanoke Gas Co.	Natural Gas	9/24/2024	9.44	56.80
Chesapeake Utilities Corp.	Natural Gas	9/26/2024	NA	NA
Michigan Gas Utilities Corp.	Natural Gas	9/26/2024	9.86	NA
Upper Peninsula Power Co.	Electric	9/26/2024	9.86	NA
Massachusetts Electric Co.	Electric	9/30/2024	9.35	52.83
Black Hills Energy Arkansas	Natural Gas	10/1/2024	9.85	39.64
Kansas Gas Service Co.	Natural Gas	10/3/2024	NA	NA
AEP Texas Inc.	Electric	10/3/2024	9.76	42.50
Public Service Electric Gas	Electric	10/9/2024	9.60	55.00
Public Service Electric Gas	Natural Gas	10/9/2024	9.60	55.00
Upper MI Energy Rsrc Corp.	Electric	10/10/2024	9.86	NA
Duke Energy Indiana LLC	Electric	10/16/2024	NA	NA
Pacific Gas & Electric Co.	Electric	10/17/2024	10.28	NA
San Diego Gas & Electric Co.	Electric	10/17/2024	10.23	NA
Southern California Edison Co.	Electric	10/17/2024	10.33	NA
Southern California Gas Co.	Natural Gas	10/17/2024	10.08	NA
Northern IN Public Svc Co. LLC	Electric	10/23/2024	NA	NA
Minnesota Power Entrprs Inc.	Electric	10/24/2024	9.78	53.00
Public Service Co. CO	Natural Gas	10/25/2024	9.35	54.00
Northwest Natural Gas Co.	Natural Gas	10/25/2024	9.40	50.00
NSTAR Gas Co.	Natural Gas	10/30/2024	NA	NA
Spire Missouri Inc.	Natural Gas	10/30/2024	NA	NA
Liberty Utilities (Midstates)	Natural Gas	10/31/2024	9.90	45.30
Eversource Gas Co MA	Natural Gas	10/31/2024	NA	NA

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Company	*Rate Case Service Type*	*Increase Authorized Date*	*Return on Equity (%)*	*Common Equity to Total Capital (%)*
Virginia Electric & Power Co.	Electric	11/4/2024	9.70	52.10
Ohio Valley Gas Inc	Natural Gas	11/6/2024	10.00	83.18
Liberty Utilities (Midstates)	Natural Gas	11/6/2024	NA	NA
DTE Gas Co.	Natural Gas	11/7/2024	9.80	39.59
MDU Resources Group	Natural Gas	11/7/2024	9.90	50.19
Northern States Power Co.	Natural Gas	11/7/2024	9.90	52.50
Duquesne Light Co.	Electric	11/7/2024	NA	NA
CT Natural Gas Corp.	Natural Gas	11/18/2024	9.15	53.00
The Sthrn CT Gas Co	Natural Gas	11/18/2024	9.15	53.00
Columbia Gas of Virginia Inc	Natural Gas	11/19/2024	9.70	35.66
Texas Gas Service Co.	Natural Gas	11/20/2024	9.70	59.58
Appalachian Power Co.	Electric	11/20/2024	9.75	48.24
Summit Utilities Arkansas Inc.	Natural Gas	11/21/2024	9.85	41.07
Elizabethtown Gas Co.	Natural Gas	11/21/2024	9.60	55.00
New Jersey Natural Gas Co.	Natural Gas	11/21/2024	9.60	54.00
Columbia Gas of Pennsylvania	Natural Gas	11/21/2024	NA	NA
Metropolitan Edison Co.	Electric	11/21/2024	NA	NA
Pennsylvania Electric Co.	Electric	11/21/2024	NA	NA
Pennsylvania Power Co.	Electric	11/21/2024	NA	NA
West Penn Power Co.	Electric	11/21/2024	NA	NA
Potomac Electric Power Co.	Electric	11/25/2024	9.50	50.50
Black Hills Iowa Gas Utility	Natural Gas	11/26/2024	NA	NA
Oklahoma Gas & Electric Co.	Electric	11/26/2024	9.50	53.50
Sthrn IN Gas & Electric Co.	Electric	11/27/2024	NA	NA
Tampa Electric Co.	Electric	12/3/2024	10.50	NA
Evergy Missouri West	Electric	12/4/2024	NA	NA
Piedmont Natural Gas Co.	Natural Gas	12/4/2024	NA	NA
PECO Energy Co	Electric	12/12/2024	NA	NA
PECO Energy Co	Natural Gas	12/12/2024	NA	NA
Entergy Arkansas LLC	Electric	12/13/2024	NA	37.85
Atmos Energy Corp.	Natural Gas	12/17/2024	NA	NA
NorthWestern Energy Group	Natural Gas	12/17/2024	NA	NA
San Diego Gas & Electric Co.	Electric	12/19/2024	NA	NA
San Diego Gas & Electric Co.	Natural Gas	12/19/2024	NA	NA
Southern California Gas Co.	Natural Gas	12/19/2024	NA	NA
Natl Fuel Gas Distribution Cor	Natural Gas	12/19/2024	9.70	48.00
PacifiCorp	Electric	12/19/2024	9.50	50.00
WI Public Service Corp.	Electric	12/19/2024	9.80	54.17
WI Public Service Corp.	Natural Gas	12/19/2024	9.80	54.17
Wisconsin Electric Power Co.	Electric	12/19/2024	9.80	56.54
Wisconsin Electric Power Co.	Natural Gas	12/19/2024	9.80	56.54
Wisconsin Gas LLC	Natural Gas	12/19/2024	9.80	52.76
Portland General Electric Co.	Electric	12/20/2024	9.34	50.00
Avista Corp.	Electric	12/20/2024	9.80	48.50
Avista Corp.	Natural Gas	12/20/2024	9.80	48.50
NSTAR Electric Co.	Electric	12/23/2024	NA	NA
Virginia Natural Gas Inc.	Natural Gas	12/23/2024	NA	NA
Washington Gas Light Co.	Natural Gas	12/23/2024	NA	NA
Columbia Gas of Kentucky Inc	Natural Gas	12/30/2024	9.75	52.64
Otter Tail Power Co.	Electric	12/30/2024	10.10	53.50
Idaho Power Co.	Electric	12/31/2024	NA	NA
Piedmont Natural Gas Co.	Natural Gas	1/7/2025	9.80	52.30

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Company	*Rate Case Service Type*	*Increase Authorized Date*	*Return on Equity (%)*	*Common Equity to Total Capital (%)*
Virginia Electric & Power Co.	Electric	1/14/2025	9.95	52.50
Public Service Co. OK	Electric	1/15/2025	9.50	51.12
Puget Sound Energy Inc.	Electric	1/15/2025	9.90	50.00
Puget Sound Energy Inc.	Natural Gas	1/15/2025	9.90	50.00
Bear Valley Electric Svc Inc	Electric	1/16/2025	10.00	57.00
DTE Electric Co.	Electric	1/23/2025	9.90	39.23
Kentucky Utilities Co.	Electric	1/28/2025	NA	NA
Duke Energy Indiana LLC	Electric	1/29/2025	9.75	43.28
Indiana Gas Co.	Natural Gas	1/29/2025	NA	NA
Sthrn IN Gas & Electric Co.	Natural Gas	1/29/2025	NA	NA
PacifiCorp	Electric	1/31/2025	NA	NA
Sthrn IN Gas & Electric Co.	Electric	2/3/2025	9.80	48.28
Northern States Power Co.	Natural Gas	2/13/2025	9.60	52.50
Cascade Natural Gas Corp.	Natural Gas	2/24/2025	9.50	49.50
Virginia Electric & Power Co.	Electric	2/27/2025	9.70	51.99
Florida Public Utilities Co.	Electric	3/4/2025	10.20	42.42
Appalachian Power Co.	Electric	3/11/2025	NA	NA
Black Hills Colorado Electric	Electric	3/12/2025	9.40	48.00
Versant Power	Electric	3/13/2025	9.35	50.00
CenterPoint Energy Houston	Electric	3/13/2025	9.65	43.25
Orange & Rockland Utlts Inc.	Electric	3/20/2025	9.75	48.00
Orange & Rockland Utlts Inc.	Natural Gas	3/20/2025	9.75	48.00
Consumers Energy Co.	Electric	3/21/2025	9.90	41.73
Atmos Energy Corp.	Natural Gas	3/25/2025	NA	NA
Liberty Utilities Granite St	Electric	3/25/2025	9.10	52.00
Northern IN Public Svc Co. LLC	Electric	3/26/2025	NA	NA
Virginia Electric & Power Co.	Electric	3/26/2025	9.70	51.99
Southwest Gas Corp.	Natural Gas	3/27/2025	9.84	48.50
Roanoke Gas Co.	Natural Gas	4/10/2025	9.90	58.18
Virginia Electric & Power Co.	Electric	4/15/2025	9.70	51.99
Columbia Gas of Maryland Inc	Natural Gas	4/22/2025	9.80	52.17
Union Electric Co.	Electric	4/23/2025	NA	NA
PacifiCorp	Electric	4/25/2025	9.38	44.42
Spire Missouri Inc.	Natural Gas	4/30/2025	NA	NA
Virginia Electric & Power Co.	Electric	5/1/2025	9.70	51.99
Delta Natural Gas Co.	Natural Gas	5/13/2025	NA	NA
Atmos Energy Corp.	Natural Gas	5/13/2025	9.80	60.97
Public Service Co. NM	Electric	5/15/2025	9.45	51.00
Columbia Gas of Virginia Inc	Natural Gas	5/15/2025	9.75	43.17
Empire District Gas Co.	Natural Gas	5/22/2025	NA	NA
Avista Corp.	Natural Gas	5/23/2025	9.50	50.00
Atmos Energy Corp.	Natural Gas	5/29/2025	NA	NA
CenterPoint Energy Resources	Natural Gas	5/29/2025	NA	NA
PacifiCorp	Electric	6/2/2025	9.50	47.50
Corning Natural Gas Corp.	Natural Gas	6/12/2025	9.50	48.00
Atmos Energy Corp.	Natural Gas	6/17/2025	9.80	60.97
Chesapeake Utilities Corp.	Natural Gas	6/18/2025	9.60	52.00
Fitchburg Gas & Electric Light	Electric	6/20/2025	NA	NA
Fitchburg Gas & Electric Light	Natural Gas	6/20/2025	NA	NA
Wind Energy Transmission Texas	Electric	6/20/2025	9.60	41.00
NorthWestern Energy Group	Natural Gas	6/24/2025	9.55	NA
MDU Resources Group	Natural Gas	6/24/2025	9.65	50.18

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Company	*Rate Case Service Type*	*Increase Authorized Date*	*Return on Equity (%)*	*Common Equity to Total Capital (%)*
Northern IN Public Svc Co. LLC	Electric	6/26/2025	9.75	53.01
The East Ohio Gas Co.	Natural Gas	6/26/2025	9.79	51.87
Delta Natural Gas Co.	Natural Gas	7/1/2025	9.75	52.76
Virginia Electric & Power Co.	Electric	7/1/2025	9.70	51.99
Kansas Gas Service Co.	Natural Gas	7/15/2025	NA	NA
Atmos Energy Corp.	Natural Gas	7/15/2025	NA	61.05
Union Electric Co.	Natural Gas	7/16/2025	NA	NA
Oklahoma Natural Gas Co	Natural Gas	7/23/2025	NA	NA
Black Hills Kansas Gas Utility	Natural Gas	7/24/2025	NA	NA
Public Service Co. NH	Electric	7/25/2025	9.50	50.00
Virginia Electric & Power Co.	Electric	7/29/2025	9.70	51.99
Indiana Gas Co.	Natural Gas	7/30/2025	NA	NA
Sthrn IN Gas & Electric Co.	Natural Gas	7/30/2025	NA	NA
Atmos Energy Corp.	Natural Gas	8/11/2025	9.75	53.50
Virginia Electric & Power Co.	Electric	8/11/2025	9.70	51.99
Virginia Electric & Power Co.	Electric	8/13/2025	9.70	51.99
Central Hudson Gas & Electric	Electric	8/14/2025	9.50	48.00
Central Hudson Gas & Electric	Natural Gas	8/14/2025	9.50	48.00
Niagara Mohawk Power Corp.	Electric	8/14/2025	9.50	48.00
Niagara Mohawk Power Corp.	Natural Gas	8/14/2025	9.50	48.00
Liberty Utilities EnergyNorth	Natural Gas	8/26/2025	9.30	52.00
Appalachian Power Co.	Electric	8/28/2025	9.25	44.00
Avista Corp.	Electric	8/29/2025	9.60	50.00
Avista Corp.	Natural Gas	8/29/2025	9.60	50.00
Green Mountain Power Corp.	Electric	8/29/2025	9.94	49.86
Spire Missouri Inc.	Natural Gas	9/3/2025	NA	NA
Appalachian Power Co.	Electric	9/9/2025	9.75	48.24
UGI Utilities Inc.	Natural Gas	9/11/2025	NA	NA
Cross Texas Transmission	Electric	9/11/2025	9.60	41.00
Nevada Power Co.	Electric	9/16/2025	9.51	52.66
Southern California Edison Co.	Electric	9/18/2025	NA	NA
Virginia Electric & Power Co.	Electric	9/23/2025	9.70	51.99
Northern IN Public Svc Co. LLC	Electric	9/24/2025	NA	NA
Evergy Kansas Central Inc.	Electric	9/25/2025	NA	NA
Roanoke Gas Co.	Natural Gas	9/26/2025	9.90	56.80
Roanoke Gas Co.	Natural Gas	9/26/2025	10.90	58.18
Chattanooga Gas Co.	Natural Gas	9/29/2025	NA	NA
Northern IN Public Svc Co. LLC	Natural Gas	9/30/2025	NA	NA
Boston Gas Co.	Natural Gas	9/30/2025	NA	NA
Massachusetts Electric Co.	Electric	9/30/2025	NA	NA
Consumers Energy Co.	Natural Gas	9/30/2025	9.80	41.95
Duke Energy Kentucky Inc.	Electric	10/2/2025	9.80	52.73
Electric Transmission Texas	Electric	10/2/2025	9.60	41.00
Minnesota Power Entrprs Inc.	Electric	10/3/2025	9.65	NA
Peoples Gas System	Natural Gas	10/7/2025	10.30	48.10
MDU Resources Group	Natural Gas	10/8/2025	9.60	50.16
AES Indiana	Electric	10/15/2025	NA	NA
Portland General Electric Co.	Electric	10/21/2025	NA	NA
Northwest Natural Gas Co.	Natural Gas	10/24/2025	9.50	50.00
The United Illuminating Co.	Electric	10/28/2025	9.25	51.00
Empire District Gas Co.	Natural Gas	10/28/2025	NA	NA
NSTAR Gas Co.	Natural Gas	10/29/2025	NA	NA

Consolidated Edison Company of New York, Inc.
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Attachment 1

Company	*Rate Case Service Type*	*Increase Authorized Date*	*Return on Equity (%)*	*Common Equity to Total Capital (%)*
Atmos Energy Corp.	Natural Gas	11/4/2025	9.40	50.00
Yankee Gas Services Co.	Natural Gas	11/5/2025	9.32	53.00
The Dayton Power & Light Co.	Electric	11/5/2025	10.00	53.87
Northern States Power Co.	Electric	11/6/2025	9.80	NA
Northern States Power Co.	Natural Gas	11/6/2025	9.80	NA
Wisconsin Power & Light Co	Electric	11/6/2025	9.80	54.53
Wisconsin Power & Light Co	Natural Gas	11/6/2025	9.80	54.53
Sharyland Utilities L.L.C.	Electric	11/14/2025	9.60	41.00
Central Maine Power Co.	Electric	11/18/2025	NA	NA
Ameren Illinois	Natural Gas	11/19/2025	9.60	50.00
Northern Illinois Gas Co.	Natural Gas	11/19/2025	9.60	50.00
Ohio Edison Co.	Electric	11/19/2025	9.63	51.20
The Cleveland Electric Illumin	Electric	11/19/2025	9.63	51.20
The Toledo Edison Co.	Electric	11/19/2025	9.63	51.20
Florida Power & Light Co.	Electric	11/20/2025	10.95	NA
Duke Energy Progress LLC	Electric	11/20/2025	9.99	53.00
Madison Gas & Electric Co.	Electric	11/20/2025	9.80	56.05
Madison Gas & Electric Co.	Natural Gas	11/20/2025	9.80	56.05

Data from S&P Global

Average ROE	Average Equity
9.7	**50.6**

ATTACHMENT 2

Consolidated Edison Company of New York, Inc.

Typical Residential Customer Bill Impacts

Cases 25-E-0072 and 25-G-0073

	Bills at Current Rates	Rate Year 1 Bills at Proposed Rates	Rate Year 1 Change	Rate Year 1 Percent Change Delivery	Rate Year 1 Percent Change Total Bill	Rate Year 2 Bills at Proposed Rates	Rate Year 2 Change	Rate Year 2 Percent Change Delivery	Rate Year 2 Percent Change Total Bill	Rate Year 3 Bills at Proposed Rates	Rate Year 3 Change	Rate Year 3 Percent Change Delivery	Rate Year 3 Percent Change Total Bill
Electric													
SC 1 New York City 280 kWh	$103.13	$107.16	$4.03	5.3%	3.9%	$110.68	$3.52	4.4%	3.3%	$114.26	$3.58	4.3%	3.2%
SC 1 Westchester 425 kWh	$146.27	$151.59	$5.32	5.1%	3.6%	$156.48	$4.89	4.5%	3.2%	$161.43	$4.95	4.3%	3.2%
SC 1 600 kWh	$198.34	$205.22	$6.88	4.9%	3.5%	$211.72	$6.50	4.4%	3.2%	$218.33	$6.61	4.3%	3.1%
Gas													
SC1 Non-Heating Customer 5 Therms	$41.83	$42.12	$0.29	0.7%	0.7%	$42.70	$0.58	1.5%	1.4%	$43.12	$0.42	1.1%	1.0%
SC 3 Rate I Heating Customer 100 Therms	$242.38	$253.05	$10.67	5.8%	4.4%	$267.43	$14.38	7.4%	5.7%	$282.51	$15.08	7.2%	5.6%
SC 3 Rate II Heating Customer 2,549 Therms	$4,945.57	$4,980.39	$34.82	1.0%	0.7%	$5,000.54	$20.15	0.6%	0.4%	$5,016.32	$15.78	0.5%	0.3%

Note: Based on the shaped revenue requirements (in $ millions): Electric = $398.5, $409.7 and $421.1 in RYs 1, 2 and 3, respectively. Gas = $67.5, $68.8 and $70.3 in RYs 1, 2 and 3, respectively.